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Namibia:

Evaluation of the AfDB's Country Strategy and Program (2014-2023)

Summary Report

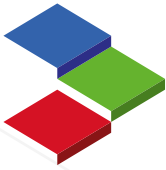


AFRICAN DEVELOPMENT BANK GROUP

October 2024

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IDEV Country Strategy Evaluation, October 2024

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About Independent Development Evaluation (IDEV)

The mission of Independent Development Evaluation at the AfDB is to enhance the development effectiveness of the institution in its regional member countries through independent and instrumental evaluations and partnerships for sharing knowledge.

Independent Development Evaluation (IDEV)

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Acronyms and Abbreviations

ADE	Analysis for Economic Decisions (Consultants)	KfW	Kreditanstalt für Wiederaufbau (German Credit Institute for Reconstruction)
ADF	African Development Fund	KII	Key Informant Interview
AFD	Agence Française de Développement	LoC	Line of Credit
AfDB	African Development Bank Group	Meatco	Meat Corporation of Namibia
AHAI	Agriculture and Agro-Industry Department	MIC	Middle-Income Country
AHGC	Gender, Women and Civil Society Department	MSME	Micro, Small, and Medium Enterprise
CPPR	Country Portfolio Performance Review	MTR	Mid-Term Review
CSO	Civil Society Organization	MW	Megawatt
CSP	Country Strategy Paper	NAD	Namibian Dollar
CSPE	Country Strategy and Program Evaluation	NAMCOR	National Petroleum Corporation of Namibia
DBN	Development Bank of Namibia	NAMPOWER	Namibia Power Corporation
DP	Development Partner	NAMRA	Namibia Revenue Agency
EGCSP	Economic Governance and Competitiveness Support Program	NAMSIP	Namibia Agricultural Mechanization and Seed Improvement Project
EQ	Evaluation Question	NIDA	Namibia Industrial Development Agency
ERR	Economic Rate of Return	NIPDB	Namibia Investment Promotion and Development Board
E&S	Environmental and Social	NPC	National Planning Commission
ESS	Environmental and Social Safeguards	NWSSP	Namibia Water Sector Support Program
ETQIP	Education and Training Quality Improvement Project	PBO	Policy-Based Operation
EU	European Union	PCR	Project Completion Report
FAATPRO	Feed Africa - Agricultural Transformation Program	PECG	Climate Change and Green Growth Department
FSDS	Financial Sector Development Strategy	PEFA	Public Expenditure and Financial Accountability
GDP	Gross Domestic Product	PFM	Public Financial Management
GERSP	Governance and Economic Recovery Support Program	PITD	Industrial and Trade Development Department
GIZ	Gesellschaft für internationale Zusammenarbeit	PIU	Project Implementation Unit
GRN	Government of the Republic of Namibia	PRA	Project Results Assessment
HPP	Harambee Prosperity Plan	PSD	Private Sector Development
IDEV	Independent Development Evaluation	PSDS	Private Sector Development Strategy
IMF	International Monetary Fund	RDRI	Regional Integration Coordination Office
IPR	Implementation Progress and Results Report	RMF	Results Measurement Framework

SACU	Southern African Customs Union	TIIP	Transport Infrastructure Improvement Project
SADC	Southern African Development Community	TVET	Technical and Vocational Education and Training
SEZ	Special Economic Zone	UA*	Unit of Account
SME	Small and Medium Enterprise	UN	United Nations
SNDR	Development Impact and Results Department	UNAM	University of Namibia
SNFI	Fiduciary and Inspection Department	UNICEF	United Nations Children's Fund
SNSC	Safeguards and Compliance Department	US\$	US Dollar
SOE	State-Owned Enterprise	WB	World Bank
TA	Technical Assistance	ZAR	South African Rand
TAF	Technical Assistance Fund		
TEU	Twenty-Foot Equivalent Unit		

* 1 Unit of Account (UA) = 23.96 Namibian Dollars (NAD); 1 UA = 1.32 United States Dollars (US\$); as of July 2024.



A staff of the Namibian Ports Authority (Namport).
Namport operates the Port of Walvis Bay.



The new container terminal at the Namibian Port of Walvis Bay is now fully operational.

Executive Summary

Objectives and Scope

This Country Strategy and Program Evaluation (CSPE) for Namibia (2014–2023) conducted by Independent Development Evaluation (IDEV) aimed to: (i) assess the contribution of the African Development Bank Group (AfDB or ‘the Bank’) to the development results of the country in achieving the objectives set out in the Country Strategy Papers (CSPs) 2014–2018 and 2020–2024; (ii) identify what has worked well or not in implementing the Bank’s interventions, why and in which context; and (iii) provide lessons and recommendations to improve the Bank’s future strategies and operations. The evaluation contributes to the Bank’s **accountability** by assessing and reporting on the results achieved under the two CSPs and promotes **learning** with the ultimate objective of informing the next CSP (2025–2029).

The evaluation covered a portfolio of 20 operations¹ distributed among six sectors: (i) water supply and sanitation; (ii) transport; (iii) social; (iv) multi-sector; (v) finance; and (vi) agriculture, amounting to UA 1.249 billion (Annex 1). This includes 10 sovereign loans approved under the African Development Bank (ADB) window (UA 1.241 billion), nine grants (UA 8 million), and one Non-Sovereign Operation (NSO) in the form of a Line of Credit (LoC) to the Development Bank of Namibia (DBN). The two CSPs were structured around two main priority areas: (i) infrastructure development for sustainable economic growth; and (ii) economic governance and the business-enabling environment.

The evaluation included sovereign and non-sovereign, and lending and non-lending, operations, and the Bank’s analytical work, advisory services, policy dialogue, capacity development, partnership development, and aid coordination. It also assessed the Bank’s positioning in contributing to Namibia’s

development agenda and economic recovery following the COVID-19 pandemic.

Methodology

The evaluation is guided by a set of **four key Evaluation Questions (EQs)**:

1. Has the Bank made the right strategic choices?
2. Has the Bank achieved what it set out to achieve?
3. Has the Bank undertaken its interventions in the right way?
4. Which factors have favored or hampered the achievement of the CSPs’ strategic objectives, and which lessons and recommendations can be used in future Bank assistance strategies and programs?

A theory-based approach was used and framed by a Theory of Change with an evaluation matrix comprising 33 **sub-questions** to be answered, structured around the international standard evaluation criteria of Relevance, Coherence, Effectiveness, Efficiency and Sustainability. It used a four-point scale² (see Annex 2) to rate performance against these five criteria.

A remote scoping mission helped in refining the EQs and stakeholder mapping. To answer the EQs, the evaluation team conducted: (i) a documentary review (policy and project documents, evaluation reports, analytical work, literature review); (ii) portfolio analysis; and (iii) a three-week data collection mission in the country. Across the evaluation process, more than 110 people were interviewed, and 43 Key Informant Interviews (KIs), 20 Focus

Group Discussions (FGDs), and four case studies with site visits were conducted. All information collected was triangulated to answer the EQs.

The evaluation encountered some limitations and challenges, including: (i) limited availability of interviewees; and (ii) limited data availability. The evaluation team managed to overcome these limitations through triangulation of information from multiple sources when applying the evaluation criteria and addressing the EQs.

Main Findings

Relevance

The evaluation found the Bank's support to be **well-aligned** with the needs of the population of Namibia, as well as the national policy goals, strategies and plans over the 10-year period. The two CSPs were also found to reflect and embody AfDB policies at regional, continental, and global levels. This included: the Bank's Ten-Year Strategy (TYS); Southern Africa Regional Integration Strategy Papers (SA-RISP) 2011–2015 (which also guided the 2016–2020 period) and 2020–2024; the Bank's Private Sector Development Policy; and the Governance Action Plan 2014–2018. When confronted with sudden changes in the socio-political landscape, such as the devastating drought of 2015–2016 or the COVID-19 pandemic in 2020–2021, Bank interventions demonstrated adequate adaptation capacity.

However, in terms of the **design** of the Bank's program, the evaluation found a discrepancy between the priorities set out in the CSPs and the Bank's actual interventions. Some key CSP priorities, such as private sector development (PSD), renewable energy, youth employment, small and medium enterprise (SME) development, and value chain development/value addition were only weakly developed in the portfolio. The evaluation also found the links between activities, outputs and outcomes to be weakly developed at the pillar level of the CSPs. Consequently, gaps remained that prevented certain

declared aims from being addressed in a holistic, integrated fashion.

The Bank's portfolio was found to be the result of a demand-driven dynamic, adapting to the Government of the Republic of Namibia's (GRN) priorities and preferences, thereby leading to changes in portfolio composition and increasing dispersion. While being responsive to GRN demands, the Bank found it difficult to select interventions according to its own strategy, logic, and selectivity guidelines, and to finance the projects included in its CSPs' Indicative Operational Programs. **Selectivity** was therefore found to be the result not only of the Bank's prioritization process and CSP development but, crucially, how the Bank's offerings are perceived to match the GRN's yearly needs. At the same time, the Bank maintained its areas of intervention (transport and governance, for instance) within broadly defined pillars that corresponded directly to GRN priorities and that drew heavily from the Bank's comparative advantages.

Overall, the **Relevance** of the Bank's strategies and programs **is rated satisfactory**.

Coherence

The degree to which Bank interventions are **internally coherent** and coordinated to create synergy among themselves—within and between sectors—was found to be limited for both lending and non-lending activities. While the evaluation found internal synergy within some sectors of support (transport and governance), it identified limited collaboration between sectors in terms of maximizing synergies and portfolio coherence (the water and sanitation, agriculture, and social sectors). The evaluation also found that both CSPs contained all the necessary components to coherently drive coordinated and strategic PSD, SME and Special Economic Zone (SEZ) development but, in practice, the actual interventions lost their intended synergies during implementation. No form of concerted effort appears to have been made around GRN objectives to foster industrialization through SEZs, which could

have benefited from a combination of transport, energy, water and sanitation, access to finance, and the provision of agricultural raw materials, as well as skills development through Technical and Vocational Education and Training (TVET).

Regarding **external coherence**, the evaluation found that the Bank was viewed as a trusted partner with a comparative advantage in financing growth-oriented investment projects, especially infrastructure. The GRN played an important role regarding the coordination of Development Partners (DPs). However, only limited dialogue and collaboration were found to occur between the Bank and other DPs, therefore limiting the external coherence of the portfolio. Documents and interviewed stakeholders expressed the view that the absence of a Bank in-country office, compared with other DPs present in the country, was a disadvantage in ensuring external coherence because it: (i) reduced opportunities for ascertaining the dynamic development needs of the GRN and strengthening the engagement between the country and the Bank; and (ii) led to missed opportunities, especially large infrastructure projects for which there was a need for co-financing.

Both internal and external coherence of the Bank's support were thus found **partly unsatisfactory**.

Effectiveness

The overall effectiveness of Bank interventions was found to be **partly unsatisfactory** across the two CSPs, as only 54 percent of the expected outputs and 50 percent of the expected outcomes were met at the time of the evaluation. However, performance is likely to improve over the remainder of the CSP period.

Performance was found to be stronger in the economic governance and business-enabling environment pillar than in **infrastructure**. Under the infrastructure pillar, assessments and stakeholder interviews confirmed the contribution of the **transport sector** (new road, rail, and port infrastructure) in reducing travel times and costs,

increasing transit trade, and improving urban mobility. For instance, the New Port of Walvis Bay Container Terminal Expansion Project has been completed and the infrastructure is functional. It experienced an increased handling capacity of containers from 355 Twenty-foot Equivalent Units (TEUs) in 2012 to 750,000 TEUs per year in 2020 (100 percent of the end target), thus increasing its competitiveness by reducing logistics and transport costs along transport corridors linking the port to the Southern African Development Community (SADC) region. The port project demonstrated effective gains in efficiency, particularly in vessel waiting time—reduced from over 8 hours to less than 8 hours—while container dwell time was reduced from 14.5 to 9.5 days, against a target of 8 to 10 days. However, measurable outcome achievement in terms of increased regional trade, developing investments in value-adding activities, or facilitating integration into regional and global value chains was found to remain a challenge.

In the **energy sector**, the evaluation found that planned commitments were not realized. The Kudu Gas Power Project and its foreseen expansion of production capacity from 400 MW to more than 750 MW, repeatedly mentioned in the CSP 2014–2018, failed to occur as planned due to its high cost and high-end tariff estimated by the GRN, and restrictions on available grid capacity. The CSP 2020–2024 emphasizes the Bank's intent to support energy self-reliance, with a focus on expanding renewable electricity generation capacity and expansion of transmission lines to reduce Namibia's power supply deficit while promoting power trade through the Southern African Power Pool (SAPP). However, no interventions were undertaken in these areas. Planned contributions to improve the energy sector's legal, regulatory, and institutional framework to promote efficiency and facilitate private sector participation also failed to materialize.

In the **agriculture sector**, results were found to be mixed. The Humanitarian Emergency Assistance to Mitigate the Effects of the 2019 Drought over-achieved its target: 4,720 smallholder farmers

receiving certified seed benefited from salt licks and fodder, which exceeded the target by 337.14 percent. However, the expected **outcomes** of increased agricultural production for cereal crops and improved rural employment have not yet materialized. In addition, results have not been observed in catalyzing the blue economy and increasing exports of value-added agricultural products, as well as reductions in food imports as targeted in the CSP 2020–2024 (except for exports by the Meat Corporation of Namibia [Meatco]).

In the **water and sanitation sector**, the limited level of project advancement did not allow for significantly increased and sustainable access to safe water and sanitation, as foreseen. The Water Sector Support Program—the biggest within the sector—was approved in March 2020 and became effective in November 2020. Its level of disbursement at the time of the evaluation was only 3 percent. Start-up delays were attributed primarily to poor project readiness and unfamiliarity with the Bank's administrative processes, reporting requirements, and protocols.

Under the **economic governance and business-enabling environment** pillar, the evaluation found the effectiveness of the Bank's support to the **governance** sector to be satisfactory overall. Most of the output and outcome indicators exceeded their end targets. The country was able to mitigate macroeconomic imbalances and prevent further Gross Domestic Product (GDP) contraction (from 7.9 percent contraction in 2020 to a growth rate of 3.2 percent for 2023). It revived private sector participation in key economic sectors, enabling the agriculture sector to grow by 2.6 percent and the industry sector to grow by 5 percent in 2022. However, other important concerns remained incompletely addressed, such as audit, procurement, an Integrated Client Service Facility, and lack of a formal national public financial management (PFM) strategy. The integration of the Human Resource Management Information System (HRMIS) into the Integrated Financial Management Information System (IFMIS) is still pending. Interviews reported that progress toward these outputs is underway.

In terms of **PSD, job creation and value addition**, the Bank's governance interventions delivered outputs but no discernible outcomes. Five feasibility studies were completed through the Middle-Income Country Technical Assistance Fund (MIC-TAF) Public-Private Partnership (PPP) grant, three more than had been previously targeted. A needs assessment was conducted, 890 people were trained in PPP through three-day workshops, 60 government staff were trained in public investment management, and a PPP budget manual was developed. However, according to interviews, the PPP Unit is unlikely to deliver its first project by the end of 2024 as planned, despite the five feasibility reports having been completed. Also, youth unemployment remained high (38 percent) and Namibia continues to have the second-highest Gini coefficient in the world.³

In the **social sector**, the Bank's support was found to have been effective in narrowing education infrastructure gaps at the basic, higher, and tertiary levels, but its contribution to improving the quality of TVET, increasing the supply of a middle-skills workforce and building human capital was yet to materialize. The effectiveness of the TVET component was limited to focus on infrastructure and equipment, without tackling the softer aspects of TVET, mainly curriculum development and training modalities (such as dual training) that directly connect trainees with employers (apprenticeships, on-the-job training, etc.). Shortcomings were noted in the lack of linkages developed between the TVET centers and potential employers in related professional fields.

In the **health sector**, the available data showed no progress in terms of the evolution of the public sector share of total health expenditure. Only 21 percent progress toward the end target was registered regarding the population to be covered by health insurance.

In the **economic governance and PFM sector**, the evaluation found that the reforms implemented to date positioned Namibia in the right direction. However, unlike as foreseen in the CSP, the progress fell short of generating conducive conditions for PSD

by eliminating crowding out by the public sector and crowding in of SMEs with an entrepreneurial job-creating ecosystem.

In the finance sector, although the DBN LoC wound up dedicating more than half its budget to State-Owned Enterprises, it has met most of its set targets at output and outcome level. Indeed, the LoC financed 42 sub-projects across a range of sectors, including manufacturing, renewable energy, and the construction of a fuel storage facility at the Walvis Bay Port, along with a fuel distribution plant. This contributed directly to the development of the port and, as such, to Namibia's aim to become a logistics hub, and to its industrialization efforts by ensuring fuel supply security. However, the DBN ambition to develop infrastructure through PPPs and private sector-promoted projects failed to materialize.

Knowledge and policy advice

The Bank was found to have engaged in limited policy dialogue activity. Interviews reported that, at the strategic level, the absence of an in-country office was found to curtail the deepening and sustainability of policy dialogue. At an operational level, the resources needed to support policy dialogue beyond the periodic supervision missions were deemed limited. Finally, analytical work was conducted in various sectors (agriculture, water and sanitation, education, governance, transport, energy), but none of the analytical work planned in the CSPs has been realized to date. This can be explained by the evolving portfolio composition and the Bank's demand-driven relationship with the GRN.

Cross-cutting issues

The evaluation found the mainstreaming of **gender** in Bank interventions to be limited. The Bank's approach was also limited to the use of quotas for women. The root causes behind gender inequity were found to have not been addressed, and the Bank's interventions cannot be considered as gender transformative. For example, the Walvis Bay Container Extension Project's Gender Benefit Plan

was not implemented. While this project recorded that over 300 women were employed during the construction period, such jobs were temporary and carried no structural and transformative dimension. **Green growth** interventions in terms of renewable energy were deemed to be minimal. Agriculture inputs did not appear to account for environmental damage (use of chemicals), climate change and increasing water scarcity, so could not be considered environmentally sustainable. With **fragility** understood in terms of persistent extreme wealth disparities and continued high unemployment, measurable, attributable positive change was scant. No new technologies related to the **Fourth Industrial Revolution** (4IR) or digital literacy were included in the TVET or other sectors involving training or SME support.

Sustainability

Infrastructure projects were generally found to be technically sound and of good quality. However, issues related to maintenance and operations put their financial sustainability at risk. The Bank contributed to institutional capacities and ownership, but results varied across sectors and sustainability remains fragile. Environment and Social (E&S) officers were appointed to ensure the environmental sustainability of projects, that staff were trained, and best practices were being implemented. With these mixed results, the sustainability of Bank support is deemed **partly unsatisfactory**.

Efficiency

The evaluation found that most of the Bank's interventions encountered delays in project start-up and during implementation. Despite this, projects were found to comply with covenants, fulfilling all due conditions, project systems and procedures to satisfaction, and generally applying sound public investment management practices. However, the evaluation could not compile a comprehensive picture of the economic rates of return (ERRs) of projects. Delays were found to be caused by weak project readiness, whereby projects developed

their design after approval. Beyond infrastructure construction, inefficiencies were noted in relation to operations, management and maintenance. This was partly due to weak quality at entry and project readiness (mainly issues related to planning and capacity of Project Implementation Units). Multi-sector interventions were generally found to be efficient. Overall, the efficiency of the Bank's support to Namibia over the period 2014 to 2023 was rated **partly unsatisfactory**.

Partnerships and leverage

The analysis of project data and interviews shows that no intervention was co-financed with partners other than the borrower. No evidence was found to demonstrate that Bank interventions and resources brought in other players or were leveraged to maximize development effectiveness in Namibia.

Borrower performance

The National Planning Commission (NPC) is charged with mapping the country's five-year development plans, to which DPs have to offer specific support. The GRN showed clear leadership in terms of aid coordination and viewed itself as the guarantor of aid alignment and harmonization. It also demonstrated strong leadership in participating in the design and implementation of the Bank's interventions. However, the timely provision of counterpart funding was sometimes found to be a challenge, and the Bank's procedures and policies in terms of procurement, disbursement, and cross-cutting issues required a learning phase that could lead to delays.

Bank performance

The Bank follows a performance management strategy that focuses on the achievement of outputs, outcomes and impacts, but with partial success. Indeed, the Bank effectively supported the development of national capacities and economic management systems, including monitoring and evaluation (M&E) systems that focus on results.

However, although results measurement and reporting are clear at the operations level, challenges still exist at the CSP pillar level.

Lessons

Lesson 1: The demand-driven dynamic between the Bank's CSP programs and evolving GRN needs, if not well managed, is likely to negatively affect the internal coherence of the Bank's programs and lead to portfolio dispersion.

The evaluation found that coherence and alignment with GRN needs remained robust, but the internal coherence among portfolio sectors, including synergies and complementarities in the CSPs' programs, was a challenge. It was hard to build the pipelines that mirrored the CSPs' strategic orientations. Causal pathways between sector and intersectoral interventions were diluted, while sector contributions remained untraceable to higher level development results, such as from micro, small and medium enterprises (MSMEs) support, the value chain approach, private sector development, and job creation. Lack of country presence also contributed to this dispersion, loss of internal and external coherence, dilution of direct attributed effects, and absence of clear synergies required to drive sectoral outcomes into wider impact at the pillar level.

Lesson 2: Aligning education and skills development programs to job market needs is instrumental to inclusive growth.

The Bank's support was found to mainly focus on infrastructure and equipment, without tackling the softer aspects of TVET, such as curriculum development and training modalities that directly connect trainees with employers (apprenticeships, on-the-job training, etc.). Shortcomings were particularly noted in a lack of linkages between TVET centers and potential employers in related professional fields.

Lesson 3: Knowledge management and institutional capacity building, including M&E, are necessary to maximize project results and sustainability.

The evaluation found that current M&E frameworks and results measurement and reporting were clear at the operations level, but challenges existed at the CSP pillar level. This limited the Bank's capacity to steer its interventions effectively in terms of achieving higher-level development results or impacts. More specifically, areas such as socio-economic development, skills development, PSD, job creation and value addition, were not monitored rigorously and comprehensively.

Strong M&E frameworks aimed at tracking project progress and program results and measuring impact help to ensure that expected development results are tracked throughout the project cycle.

Lesson 4: Improving quality at entry and project preparation contributes to smooth project implementation and avoids efficiency losses.

Persistent weak quality at entry (mainly issues related to planning and capacity of the Project Implementation Units) can be anticipated and addressed by building capacity at the outset, thereby avoiding future delays. However, in several instances, project preparation failed to ensure that key documents, including full feasibility studies, were in place prior to project approval.

Lesson 5: Lack of synergies and complementarities between sectors and projects limits the ability of the Bank's country program to tackle the barriers to business development, value addition, MSME support and job creation in an integrated way.

Unlike the two CSPs, the portfolio was found to be limited in complementarities and synergies between sectors and projects. This led to an absence of structure and strategic orientation between sector work, PSD, entrepreneurship, and job creation.

Challenges including access to finance and markets, high energy and transport costs, as well as the business environment and economic governance, were not addressed in a cohesive and strategic manner. A successful integrated approach demands a detailed systemic assessment of sectoral and thematic contexts, key stakeholders, and context dynamics, together with consultations with national partners, beneficiary groups, and civil society organizations (CSOs) in the design and delivery of highly tailored programs.

Recommendations

Recommendation 1: Enhance the design of the Bank's program and the internal coherence of its portfolio of interventions.

Priority actions to consider include:

- i. Strengthening the links between activities, outputs, and outcomes at the pillar level in the Bank's CSP, and their links to the CSP's higher-level objectives;
- ii. Undertaking strong engagement with all relevant actors (government [sector] ministries and institutions, SOEs, the private sector, CSOs) to mutually agree on, and commit to, a coherent multi-year program of support and a pipeline of mutually reinforcing interventions; and
- iii. Ensuring ongoing structured interactions, coordination, and policy dialogue with the GRN and key economic actors.

Recommendation 2: Strengthen the coherence of the Bank's support with that of other DPs supporting Namibia. Key actions might include:

- i. Reinforcing the engagement with other DPs through the existing coordination mechanisms and continuous dialogue.

- ii. Actively seeking out collaboration in areas of priority for the Bank, such as green and renewable energy, and seizing opportunities for co-financing as they arise; and
- iii. Working with partners, including the private sector, to jointly identify emerging investment prospects in the country's evolving business environment.

Recommendation 3: Promote effective implementation of the Bank's strategy and program. Actions to consider include:

- i. Ensuring a mutual understanding among AfDB departments, the Bank's Southern Africa Regional Office, Namibian government agencies, and other stakeholders regarding the intervention logic of the Bank's interventions and the results chain from individual projects to the higher-level expected CSP results;
- ii. Continuing to support the country in building the capacity of government and implementing agencies to implement, monitor, report on, and evaluate the Bank's programs, with particular attention to AfDB rules and procedures (such as fiduciary processes, procurement, disbursement, financial management, and environmental & social safeguards); and
- iii. Strengthening intersectoral coordination within the Bank to maximize synergies between Bank operations.

Recommendation 4: Strengthen the Bank's support for regional integration between Namibia and its neighbors. Key actions might include:

- i. Undertaking further analysis of the national hard and soft infrastructure needs for promoting road and rail corridors serving ports, and power pools, and the existing connecting infrastructure in neighboring countries;
- ii. Providing support to the GRN to develop and implement relevant transnational agreements and industrial partnerships; and
- iii. Focusing on achieving the expected CSP outcomes in terms of increased regional trade, power interconnection, developing investments in value-adding activities, and facilitating Namibia's integration into regional and global value chains.

Recommendation 5: Enhance the Bank's focus on issues of inclusiveness and gender inequality. The following actions might be considered:

- i. Identifying the root causes of wealth disparities, high (youth) unemployment, and gender inequality in Namibia and their links with the CSP pillars and sectors of the Bank's intervention; and
- ii. Taking a systematic approach to promoting inclusion and gender transformation through specialized analysis and deliberate targeting of vulnerable groups in the Bank's interventions, and then integrating relevant elements into the M&E system. ■

Management Response

Management welcomes the Independent Development Evaluation Department's (IDEV) evaluation (henceforth the evaluation) of the Country Strategies and Programs of the African Development Bank in Namibia for the period 2014 to 2023. The evaluation is timely as the Bank is currently preparing the Country Strategy Paper 2020-2024 Completion Report for Namibia, which will inform the new CSP 2025-2029. The evaluation found that the Bank's portfolio showed a great degree of adaptability in response to changing country and global circumstances. On the other hand, in addition to being too ambitious, the evaluation noted that greater adaptability to country demand had over time resulted in limited synergies and complementarities of the Bank's interventions in support of CSP strategic orientations. Management acknowledges and takes note of the conclusions, lessons, and recommendations contained in the evaluation. Many of the findings are consistent with observations made from regular monitoring, follow-ups, portfolio reviews and the draft CSP Completion Report and will inform the design of the new Country Strategy as well as the implementation of the ongoing operations.

Introduction

IDEV carried out an evaluation of the Bank's Country Strategy Papers (CSP) and Programs in Namibia for the periods 2014-2019 and 2020-2024. The evaluation comes a few months before the end of the current CSP (2020-2024).

Management welcomes the evaluation as it provides an opportunity for the Bank to build on its strengths and address its weaknesses based on the recommendations contained therein. In general, the evaluation notes that the Bank's support is well-aligned with Namibia's development aspirations, over the 10-year period. In addition, the Bank's CSPs and programs showed a great degree of adaptability when confronted with sudden changes in the socio-political landscape, given the multiple shocks that affected Namibia during the review period.

This said, the evaluation observes that the CSPs sovereign operations program was not implemented as planned due to the need to respond to shocks such as COVID-19. Consequently, the priorities set out in the CSPs differed in some instances from the Bank's actual interventions. The result has been that

some key CSP objectives are not supported by the actual Bank program. In this regard, both CSPs were found to be less effective. Only 54 percent of the expected outputs and 50 percent of the expected outcomes were met at the time of the evaluation, although the performance is likely to improve during the remainder of the CSP period.

Management takes note of these findings and plans to ensure that the CSP results chain reflects the outcomes and outputs from its intervention, improves selectivity, intensifies engagements with other development partners (DPs) and supports greater involvement of the private sector in Namibia's development efforts.

To complement the Bank's resources, the evaluation sees greater scope for coordination with other development partners supporting Namibia to ensure external coherence, mobilize additional financing and/or leverage co-financing opportunities for greater impact. At the same time, Management wishes to underscore the challenges presented by the absence of a physical Bank presence in Namibia in maintaining a robust engagement with other DPs, the private sector and local authorities.

Management is also considering ways to address these challenges in the new CSP by establishing the Bank's physical presence in Namibia, developing integrated programs, sustaining frequent missions and continuing support for improved governance.

Furthermore, the new CSP will prioritize multisectoral operations to maximize synergies across Bank support as well as support from other development partners. Support for improved economic and financial governance will be sustained to build institutional capacities and improve the efficiency of the public sector.

Overall, Management agrees with the evaluation's findings, conclusions and recommendations which will inform dialogue with the Authorities and the design of the new CSP (2025-2029), as well as guide the implementation of the ongoing operations and the design of future programs.

Key Findings of the Evaluation

Relevance

Management notes the evaluation's rating of the Bank's CSPs and programs as satisfactory as they were well-aligned with the national policy goals, strategies and plans over the 10-year review period and responded to the needs of the population of Namibia. In addition, the two CSPs reflected and embodied the Bank's policies at regional, continental, and global levels. Following the multiple shocks that plagued Namibia, especially during the current CSP 2020-2024 period, the Bank showed sufficient adaptability and flexibility. The Bank's responses were largely on account of the continuous engagement with the Authorities and collaboration with other DPs in the country.

Management also takes note of the evaluation's finding that the CSP's sovereign operations program was not implemented as planned, leading to a variation between the Bank's indicative operations program (IOP) as envisaged at the

approval of the CSPs and actual interventions, particularly regarding key priorities like private sector development, renewable energy, youth employment, and small and medium enterprises (SMEs). All the approved projects were consistent with the sectoral focus or coverage of the CSPs, that is, infrastructure, governance, and skills development. Therefore, despite non-implementation of some of the programmed operations, the new projects that were approved contributed to the overall sectoral objectives. For instance, the COVID-19 policy-based operation addressed health sector governance shortfalls, consistent with the objectives of the CSPs. Furthermore, approval of one of the programmed energy sector projects was impeded by delays in completing the feasibility study. The feasibility study is currently underway, and the project is expected to be prepared for Board consideration under the new CSP 2025-2029. Consequently, the observed weak connections between activities, outputs, and outcomes at the CSP pillar level does not reflect the absence of sectoral selectivity in the implementation of the CSP. The portfolio was informed by requests from the national authorities to respond to emerging development needs, leading to changes in composition and increased dispersion, despite the Bank's consistent focus on infrastructure and governance.

Management agrees with this observation as the Bank's portfolio is closely linked to the annual financing needs of the Government of the Republic of Namibia's (GRN), as outlined in the National Development Plans and public sector investment plans. It is, however, important to recognize the Bank's ability to adapt and remain flexible in the face of the multiple shocks, including the COVID-19 pandemic, that plagued Namibia during the current CSP period, which demonstrates a commitment to supporting the country's development. In addition, while there was some divergence from the initial program at CSP approval, the Bank's support has consistently focused on the identified priorities, ensuring that its efforts are relevant to addressing Namibia's ongoing development challenges.

Furthermore, Namibia's economic environment presents a unique set of challenges and opportunities for Development Finance Institutions (DFIs) like the Bank. The country's status as an upper middle-income country with robust domestic financial capabilities and access to external funding necessitates that DFIs offer innovative and competitive financial solutions. The case of the Agri-Bank Line of Credit illustrates the complexities involved, where despite approval from the Bank, Namibia opted for an alternative financier at the loan signature stage. This decision underscores the importance of DFIs understanding and adapting to evolving preferences and financial strategies of the government. Additionally, the experience with two out of three planned energy sector operations, which did not materialize, further highlights the unpredictable nature of private sector financing. The Mid-term Review of the current CSP acknowledged that the initial IOP was too ambitious, recognizing the need to shift to a more government-request-driven approach. Going forward, the IOP will only include projects explicitly requested by the government, ensuring better alignment with national priorities and a higher likelihood of implementation. As such, only four out of the planned 14 projects (three lending and one non-lending) were approved by mid-term. The experience reveals that the government has the prerogative of using its own resources or seek funding from alternative sources, which sometimes impedes the uptake of Bank resources. The Bank planned more non-lending operations that it was able to finance.

Management is also cognizant that the lessons from these experiences point to the need for the Bank to be more innovative in structuring its financing options so that it can remain competitive. As the Bank will soon embark on the preparation of the new CSP 2025-2029 for Namibia, Management commits to drawing from these lessons to inform the design and implementation of the Bank's work program. Regarding the non-lending operations, achieving the Bank's vision of being a knowledge Bank will require appropriate resource allocations for rigorous knowledge work to inform policy dialogue and business development.

Coherence

The evaluation found that the internal coherence and coordination was limited for both lending and non-lending activities. However, Management argues that the operating environment during the implementation of the CSP, notably the multiple shocks that plagued Namibia led to the repurposing of the Bank's interventions in the country. This underscores the need for agility in Bank response to unforeseen challenges, allowing for real-time adjustments that align with evolving ground realities. A key lesson is that the corresponding adjustments to the sectoral focus of the CSP and thus the results chain should have been reflected in the CSPs, especially during the mid-term reviews, to ensure coherence of the interventions. In this context, the rating of Partly Unsatisfactory performance is justified. Consistent with the One Bank approach, ongoing initiatives to strengthen the participation of private sector specialists early in the strategy development stage is a proactive step towards ensuring that the Bank's interventions are well coordinated and synergistic. In addition, the Bank's support to the Public-Private Partnership (PPP) Unit will aim to support Namibia in unlocking the private sector's potential as an engine of inclusive development.

Management concurs with the observation that opening a country office will allow the Bank to improve the quality of its dialogue with the authorities and ensure more timely responses to changes in the GRN priorities. Given that a decision on establishing a Bank Office in Namibia has not been made yet, Management will seek to enhance collaboration and coordination with the authorities and other DPs through more frequent missions to Namibia.

Effectiveness

The evaluation revealed a Partly Unsatisfactory rating of the Bank's strategies and programs. This observation largely appears to be a consequence of overly ambitious expectations set for the CSP period. Despite this, significant progress has been noted, with over 60 percent of the CSP's envisaged output

and outcomes expected to be achieved by the end of the current CSP in December 2024.

In the agricultural sector, the anticipated outputs and outcomes, have experienced delays, primarily due to the time required to address bidders' complaints and objections concerning bid awards. Resolving these objections, in line with Bank procurement procedures, consumed considerable time, delaying the award of contracts and thus commencement of project implementation. In addition, adverse weather conditions, notably drought, negatively affected the value-adding activities, which would have generated higher regional trade volumes. Consequently, assessment of the effectiveness of Bank support in the sector should consider the climate shocks that plagued the country to inform pertinent lessons. For the energy sector, the focus was on supporting private sector clients, which did not materialize, as financing for the envisaged projects was secured from alternative sources. While the evaluation underscores the need for realistic goal setting, it should also consider the importance of considering unforeseen factors, such as climate variability, in program planning and implementation.

For the water sector, rigorous quality-at-entry will be ensured, and no project will be included in the IOP unless the relevant feasibility and design studies are available. **Management continues to emphasize the importance of project readiness, which encompasses preparation of detailed designs, securing right-of-way prior to appraisal of new operations, use of advanced procurement methods, and streamlining project procurement processes to ensure timely commencement and implementation of projects.**

Regarding the private sector, efforts to expand the portfolio, including support to the financial sector through Lines of Credit, have been hampered by inadequate resources for business development. Nonetheless, Management notes that the GRN has developed a policy on State-Owned Enterprises and the Growth at Home Strategy, marking a significant step towards introducing competition in sectors

that are characterized by the dominance of public monopolies. This policy, which is the outcome of continuous Bank dialogue with the authorities and support through the economic governance pillar, is expected to create bankable operations for Bank support via its non-sovereign operations window. **Management is also committed to supporting the PPP Unit as one of the options for mitigating the prevalence of SOEs in the market.**

The evaluation notes that most of the planned sector-based analytical work could not be carried out due to lack of resources needed for such work. **Going forward, Management will make adequate resource allocations for knowledge work to drive business development, policy dialogue, and strategy development.**

Sustainability

A mixed picture emerges from the evaluation of the sustainability of Bank projects in Namibia, where the overall rating is Partly Unsatisfactory. Infrastructure project designs and the quality of institutional arrangements were found to be technically sound, but maintenance and operational aspects did not guarantee the sustainability of the projects. **Management generally agrees with this finding, especially for the roads sector.** While the roads maintenance framework is established, there are concerns about whether the fuel levy is sufficient to fully fund road maintenance. As pointed out in the evaluation, in the agriculture sector, issues of land ownership remain a challenge, but good practices are being implemented when it comes to environmental and social safeguards.

Efficiency

Management takes note of the findings of the evaluation regarding Red Flagged projects. However, Management would like to point out that most Red Flagged projects during the past two years are linked to operations funded through the Middle-Income Country Technical Assistance Fund (MIC-TAF) grants. For instance, as of end September 2024, out

of six instruments red flagged, five were under MIC-TAF grants. Management is confident that four of the six operations will exit the Red Flag zone by the end of November 2024. Actions being taken include finalization of disbursement actions, completion of feasibility studies to kick-start implementation of the projects, providing support to Project Implementation Units (PIU) staff to fulfil fiduciary requirements and ensure accuracy of disbursement requests.

Partnerships and Leverage

Management agrees with the finding of the evaluation that there is no evidence of the Bank's leveraging of additional financing. GRN has typically been conservative in mobilizing development finance, largely borrowing from selected development partners including the Bank, which limits opportunities for co-financing. Nonetheless, evidence of successful experience exists, notably in the water and agriculture sectors through parallel financing, a testament to what can be accomplished with a more proactive reporting and leveraging strategy. The CSP Completion Report, which is under preparation, will provide details on these partnerships and leveraging financing. Given Namibia's vulnerability to climate shocks, tapping into global environmental and climate funds presents a viable avenue for securing further financing. Going forward, Management will continue to scale up its efforts to leverage financing for development from other partners and global funds for which Namibia is eligible.

Cross-Cutting Issues

Management notes some of the challenges in reporting on cross-cutting issues. These are being addressed through training provided by expertise of the Delivery, Impact and Results Department (SNDR) to enhance the quality of data reporting. Looking ahead, under the next CSP, Management will explore options for supporting Namibia to generate the required data for robust monitoring and evaluation. Furthermore, the Bank's CSP 2025-2029 preparation mission will include

experts on all cross-cutting issues to guarantee that all pertinent information is meticulously gathered. This holistic approach not only addresses current gaps but also fortifies future reporting and evaluation on cross-cutting issues.

Borrower and Bank Performance

Management acknowledges the evaluation's finding regarding the challenges in timely provision of counterpart funding. GRN has a track record of striving to meet its counterpart funding in a timely manner, which is essential for maintaining the momentum of project implementation. Nevertheless, it is crucial to recognize the broader economic context, where fiscal consolidation measures have occasionally necessitated a more stringent approach to capital expenditure. To address the complexities of Bank procedures and policies, PIUs will benefit from ongoing training and support, ensuring a comprehensive understanding of procurement, disbursement, and cross-cutting issues. Efforts will be made to ensure consistency between the national development plans' monitoring and evaluation frameworks and the CSP Results Measurement Framework (RMF) during the preparation of the new CSP will be made.

Lessons

Lesson 1: The demand-driven dynamic between the Bank CSP programs and evolving GRN needs, if not well managed, is likely to negatively affect the internal coherence of the Bank's programs and lead to portfolio dispersion.

Management acknowledges that an overly ambitious IOP at the time of the CSP approval led to a discrepancy between the Bank's planned IOP and the actual interventions, as well as the anticipated outputs and outcomes. This was further aggravated by the flexibility in implementing the Bank's program to respond to the client's needs in the face of multiple shocks. Nonetheless, the newly approved projects were aligned with the sector focus of the CSPs.

A revised IOP at the Mid-term Review of the CSP would have ensured alignment between the CSP objectives and the results framework.

Lesson 2: Aligning education and skills development programs to job market needs is instrumental to achieving inclusive growth.

Enhancing employability requires linking skills development and training to the demands of the job market. Consequently, by mainstreaming skills development within the Bank's programs, Management is taking a significant step towards easing shortages of employable skills. The collaboration with key stakeholders—policymakers, industry leaders, and educators—will facilitate the formation of a holistic strategy. This strategy will not only tackle current skill shortages but also forecast and prepare for future market needs.

Lesson 3: Knowledge management and institutional capacity building, including monitoring and evaluation, are necessary to maximize project results and sustainability.

Management, in consultation with GRN and other stakeholders, will put in place a knowledge program under the new CSP. All knowledge work undertaken by the Bank will continue to be relevant to Namibia's development needs for maximum developmental impact. Furthermore, the Bank is focusing on enhancing the capacities of PIUs, including in monitoring and evaluation through tailored training during country portfolio performance reviews and fiduciary clinics.

Lesson 4: Improving quality at entry and project preparation contributes to smooth project implementation and avoids efficiency losses.

Management will ensure improved quality-at-entry of projects. This includes ensuring that all safeguard requirements are adhered to, feasibility studies are completed before approval of projects, capacitating PIUs to be able to manage all project cycle activities, and close supervision of projects by task managers.

Lesson 5: Lack of synergies and complementarities between sectors and projects limits the ability of the Bank's country program to tackle the barriers to business development, value addition, micro, small and medium enterprises (MSME) support and job creation in an integrated way.

Management acknowledges the non-implementation of some projects envisaged in the original IOP. Under the new CSP 2025-2029, emphasis will be placed on developing a realistic IOP and strengthening the results chain to articulate the synergies and complementarities in the proposed Bank lending and non-lending programs. In addition, the introduction of the Growth at Home Strategy, strengthening of the PPP Unit, and adoption of the Special Economic Zones concept are all geared towards creating a more conducive environment for private sector participation, including support to MSMEs, to bolster value addition and jobs creation.

Conclusion

Management appreciates the rigor in the evaluation, its inclusiveness and participatory nature. Overall, Management agrees with the evaluation's findings, conclusions and recommendations which will inform dialogue with the Authorities and the preparation of the new CSP 2025-2029 as well as guiding the implementation of the ongoing operations and the design of future programs. ■

Management Action Record	
Recommendation	Management Response
Recommendation 1: Enhance the design of the Bank's program and the internal coherence of its portfolio of interventions.	
- Strengthening the links between activities, outputs, and outcomes at the pillar level in the Bank's CSP, and their links to the CSP's higher-level objectives. - Undertaking strong engagement with all relevant actors (Government (sector) ministries and institutions, state-owned enterprises, the private sector, civil society) to mutually agree on and commit to a coherent multi-year program of support and a pipeline of mutually reinforcing interventions. - Ensuring ongoing structured interactions, coordination, and policy dialogue with the Namibian Government and key economic actors.	Agreed – Management agrees with the proposed recommendation. - RDGS with support from SNDR will take the lead in preparing the RMF for the new CSP 2025-2029. This framework will concentrate on enhancing the connections between activities, outputs, and outcomes at the priority area level within the Bank's CSP, as well as their alignment with the CSP's overarching objectives. (RDGS & SNDR, Q2 2025). - Management has formed a broader CSP Team, involving all relevant Bank Departments, to facilitate effective dialogue with stakeholders in Namibia. This team will lead discussions on selecting Priority Areas and projects for implementation, incorporating insights from Namibia's Medium-Term Budgeting framework. (RDGS, Q3 2025). - Management will ensure the continuation of enhanced quarterly mission planning with active participation from all relevant Bank Departments, which is essential for strengthening engagement with authorities and key stakeholders to promptly address any changes in GRN priorities. If any significant changes occur during the implementation of the CSP, such changes will be reflected in the Mid-Term Review, including revision of the IOP and RMF to ensure the integrity of the CSP and guarantee synergies and complementarities of the Bank program (RDGS/sectors implementing projects in the CSP IOP, MTR CSP Q4 2027).
Recommendation 2: Strengthen the coherence of the Bank's support with that of other development partners supporting Namibia.	
- Reinforcing the engagement with other development partners through the existing coordination mechanisms and continuous dialogue. - Actively seeking out collaboration in areas of priority for the Bank, such as green and renewable energy, and seizing opportunities for cofinancing as they arise. - Working with partners, including the private sector, to jointly identify emerging investment prospects in the country's evolving business environment.	Agreed – - Management will ensure virtual participation in the National Planning Commission-led dialogue, with evidence of such engagements fully reflected in Back-To-Office Reports. (RDGS, Q2 2025). - Management will enhance coordination and collaboration with other development partners to secure co-financing or parallel financing for projects in Namibia, while also accessing global environmental and climate funds. Task Managers will provide evidence of actions taken to obtain this funding, ensuring the involvement of the Government of Namibia (GRN) in the process. (RDGS/sectors with projects in the IOP, MTR CSP - 2027 Q4).

Management Action Record	
Recommendation	Management Response
Recommendation 3: Promote effective implementation of the Bank's strategy and program.	
- Ensuring a mutual understanding among AfDB departments, the Bank's Southern Africa Regional Office, Namibian government agencies, and other stakeholders of the intervention logic of the Bank's interventions and the results chain from individual projects to the higher-level expected CSP results. - Continuing to support the country in building the capacity of government and implementing agencies to implement, monitor, report on, and evaluate the Bank's programs, with particular attention for AfDB rules and procedures (such as fiduciary processes, procurement, disbursement, financial management, and environmental & social safeguards) - Strengthening intersectoral coordination within the Bank to maximize synergies between Bank operations.	Agreed – - The Bank will intensify interactions among Bank Departments, and between the Bank and the GRN to ensure selectivity, while ensuring the outputs, outcomes and impacts are consistent with the RMF in the CSP 2025-2029 (RDGS/sectors preparing projects, 2025, Q1). - Ongoing training will be sustained. Additional training will be provided as and when needed. Hands-on training being provided during supervision missions will also be maintained to enhance PIU competencies on Bank's fiduciary processes, especially in an environment where staff turnover is high. (RDGS/SNFI/Social Safeguards, MTR CSP 2027, Q4). - The new CSP 2025-2029 envisages multisectoral operations, which will ensure intersectoral coordination across Bank Departments in some of the sectors (especially in the north of the country with the highest poverty rates) to ensure synergies and improve efficiency in project implementation. (RDGS/sectors preparing projects, 2025, Q2).
Recommendation 4: Strengthen the Bank's support for regional integration among Namibia and its neighbors.	
- Undertaking further analysis of the national hard and soft infrastructure needs for promoting road and rail corridors serving ports, and power pools, and the existing connecting infrastructure in neighboring countries. - Providing support to the Government to develop and implement relevant transnational trade agreements and development of spatial industries and cross transnational partnerships. - Focusing on achieving the expected CSP outcomes in terms of increased regional trade, power interconnection, developing investments in value-adding activities, and facilitating Namibia's integration into regional and global value chains.	Agreed – - Proposed regional infrastructure support in Namibia will include an assessment of such infrastructure in the neighboring countries to avoid investments that will not deepen regional integration (RDGS/RDRI, Q1, 2026). - In cases where there is potential for regional trade, the Bank will support Namibia to improve trade facilitation, including engagements in transboundary water and environmental management, with countries where such agreements may be required. Furthermore, the Bank's support for the growth of spatial industries, Special Economic Zones, and Industrial Parks will catalyze economic development and innovation. By supporting these initiatives, the Bank will play a significant role in facilitating Namibia's integration into regional, continental, and global value chains (RDGS/RDRI/AHAI/PECG, MTR CSP Q4 2027). - Given the emphasis of the Bank's TYS 2024-2033 on regional integration, the new CSP 2025-2029 will explore and support actions in potential areas for increased regional trade and cooperation, especially regarding regional and global value chains, and transboundary watershed management. Such areas include power, regional industrial hubs and regional investment flows (RDGS/RDRI/PITD/ AHAI/PECG, MTR CSP Q4 2027).

Management Action Record	
Recommendation	Management Response
Recommendation 4: Enhance the Bank's focus on issues of inclusiveness and gender inequality.	
- Identifying the root causes of wealth disparities, high (youth) unemployment, and gender inequality in Namibia and their links with the CSP pillars and sectors of Bank intervention. - Taking a systematic approach to promoting inclusion and gender transformation through specialized analysis and deliberate targeting of vulnerable groups in the Bank's interventions and integrating relevant elements in the M&E system.	Agreed – - Addressing inequality will require dealing with the legacy issues from the previous apartheid system (which left a lasting imprint on the nation, resulting in deep-seated disparities in wealth). The Bank will build on ongoing interventions to help Namibia address the systemic issues that underlie these social challenges, including through multisectoral operations. In the development of the results chain of the new CSP, the causal channels will be properly established including the actions necessary to address inequality and fragility. (RDGS/RDTS/AHAI/AHGC, Q3, 2025). - The Gender Marker System will continue to be applied to promote inclusion and empowerment of women. An updated Gender Profile will be developed to guide Bank actions, including the indicators required to monitor implementation of gender related actions. Targeted youth interventions will also be identified and implemented through the Bank's programs in line with the Ten-Year Strategy 2024-2033 and Jobs for Youth Strategy 2016-2025 (RDGS/AHGC/SNSC, Q2, 2027).



Fuel Storage Facility at Walvis Bay Port Container Terminal.

Introduction

This report provides a summary of the evaluation conducted by Independent Development Evaluation (IDEV) on the African Development Bank Group's (AfDB or "the Bank") country strategies and programs in Namibia from 2014 to 2023. Over this period, the Bank formulated two Country Strategy Papers (CSPs): CSP 2014–2018 and CSP 2020–2024, each focusing on two priority areas. For the CSP 2014–2018, the objective was to contribute to inclusive and sustainable growth by: (i) enhancing physical infrastructure; and (ii) developing the private sector, including skills development and improving the regulatory environment. For the CSP 2020–2024, the objective was to help Namibia achieve sustained and inclusive growth through structural transformation by: (i) promoting economic governance for an improved business-enabling environment; and (ii) supporting infrastructure development and promoting value addition. Under these two CSP areas of focus, the Bank approved a total of 20 operations amounting in value to Units of Account (UA) 1.249 billion (Annex 1).

The structure of this summary report is as follows: an introduction section briefly outlines the evaluation's purpose, scope, methodological approach, and limitations. This is followed by a section providing the country context. Subsequent sections review Namibia's and the Bank's strategies and portfolio. The next three sections present the evaluation's findings and evidence of the Bank's contribution to development results, review of the Bank's management of interventions, and an assessment of the Bank and the borrower's performance. The final section includes a set of conclusions, lessons, and recommendations.

Evaluation's Purpose, Questions, and Scope

The primary purpose of this country strategy and program evaluation (CPSE) is to provide findings, lessons and recommendations for the design of the next Bank CSP for Namibia (2025–2029). The evaluation aims to achieve **three key objectives**: (i) assess the Bank's contribution to Namibia's development results in achieving the objectives set out in the two CSPs from 2014 to 2023; (ii) identify what worked well in the Bank's programs, what did not, why and in which context; and (iii) provide lessons and recommendations for future programs.

The evaluation is guided by a set of **four key Evaluation Questions (EQs)**: (i) Has the Bank made the right strategic choices? (ii) Has the Bank achieved what it set out to achieve? (iii) Has the Bank undertaken its interventions in the right way? and (iv) What factors have favored or hampered the achievement of the CSPs' strategic objectives, and what lessons and recommendations can be used in future Bank assistance strategies and programs?

The evaluation's reference period is 2014 to 2023. This period covers two Bank strategy cycles. The evaluation assessed all the interventions and financing instruments used by the Bank in Namibia during this period. This includes investment projects, budget support, Lines of Credit (LoCs), and institutional capacity-building initiatives. In addition, the evaluation assessed the Bank's analytical work, advisory services, policy dialogue, and aid coordination activities, including the Bank's positioning.

Evaluation's Approach and Methodology

The evaluation used a theory-based pyramidal approach to assess the Bank's contribution to achieving development results in Namibia during the evaluation period. The evaluation team reconstructed a Theory of Change (ToC), which identifies the results paths that underlie the critical assumptions to achieve development outcomes. Empirical evidence was gathered to demonstrate whether the expected changes did effectively occur, why those changes took place (or why they did not), and which factors influenced the pathways through which changes happened.

Analysis was done at three main levels: (i) the **operational level** that assessed the Bank's interventions through case studies (with site visits and more than 110 people interviewed through 43 Key Informant Interviews [KIs] and 20 Focus Group Discussions [FGDs]), Project Result Assessments (PRAs), and synthetic fiches (for projects with a low level of implementation, i.e., disbursement rate

below 75 percent); (ii) the **thematic level**, based on a review of the objectives and priority areas of the CSPs; and (iii) the **strategic level**, focusing on an analysis of the interactions between objectives, priority areas and interventions.

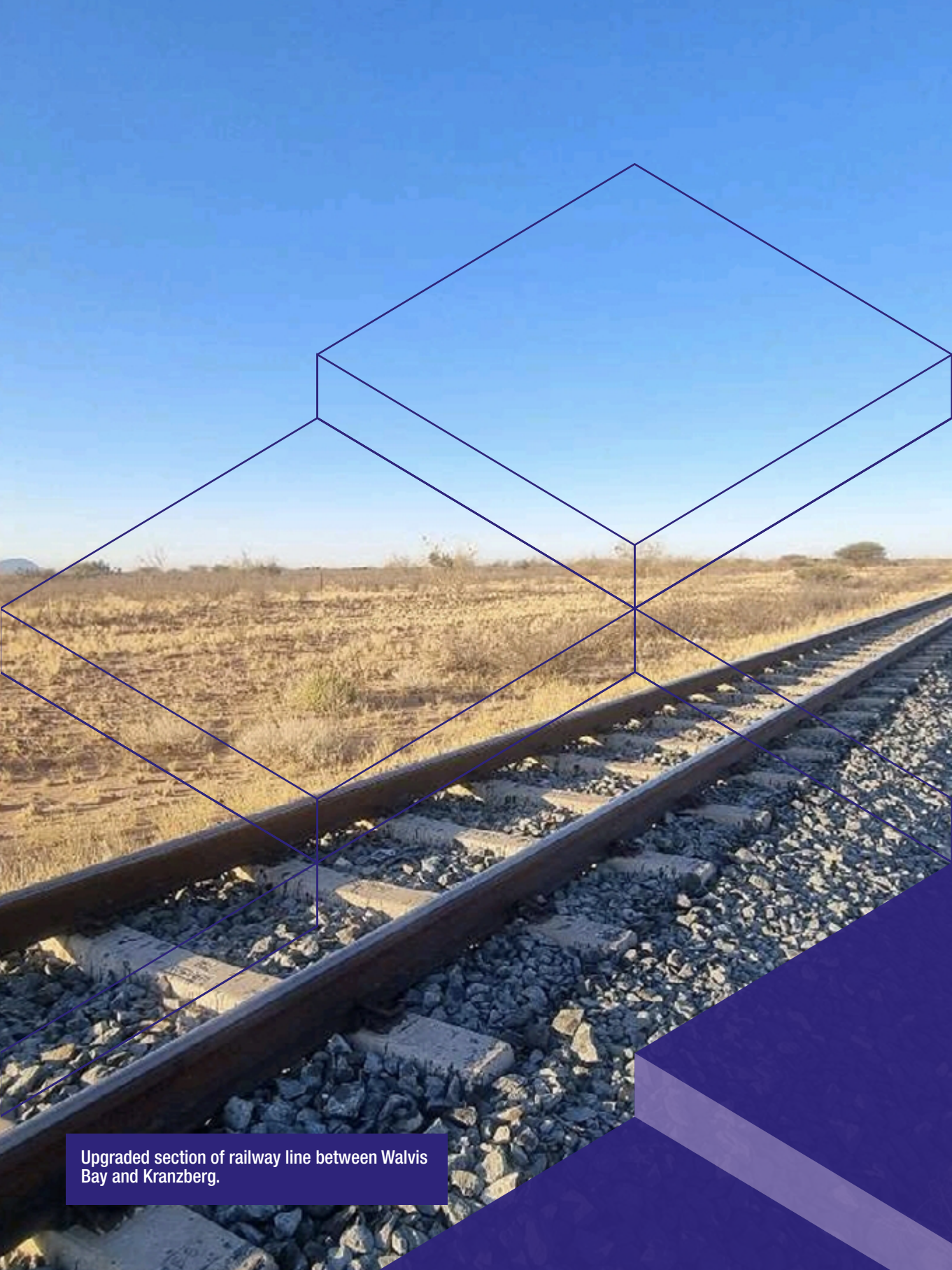
To assess performance, the evaluation used a comprehensive set of internationally recognized evaluation criteria. These criteria were Relevance, Coherence, Effectiveness, Efficiency, and Sustainability. The evaluation used a four-point scale⁴ to rate performance against these criteria (Annex 2). A comprehensive description of the evaluation approach and methodology is available in [Technical Annex 1](#).

Evaluation Limitations and Mitigation Measures

As summarized in Table 1, the evaluation faced some limitations and mitigation measures were put in place. ■

Table 1: Evaluation limitations and mitigation measures

Limitations	Mitigation Measures
Limited availability of people to interview: Simultaneous delegations from the Bank (supervision mission) and other international lending institutions were in Namibia during the data collection mission. This limited the availability of Bank staff and national counterparts during the data collection mission	The evaluation team worked closely with the Bank's office in South Africa and adopted flexible mission planning to quickly adapt to changes in agenda and availabilities. When it was not possible to meet stakeholders in person, the evaluation team relied on documentary evidence and proposed remote meetings (during and after the field mission) to collect data.
Limited data availability: In some cases, the project had poor quality reporting (project documentation). Data on a series of indicators had errors or were not reported.	The evaluation team identified the indicators with poor quality reporting and verified the data through interviews and field visits.



Upgraded section of railway line between Walvis Bay and Kranzberg.



Construction works on the dual carriageway
from Windhoek to Hosea Kutako International
Airport.

The Country Context and the Bank's Strategy

Political Context

Namibia is a stable multi-party democracy in which the South-West Africa People's Organization (SWAPO) has been the sole party in power since independence in 1990. While SWAPO won 65.5 percent of the country's sixth general election in 2019, it lost the two-thirds parliamentary majority it had enjoyed since 1994.

Namibia has been consistently ranked among the top African countries in terms of good governance. The 2022 Mo Ibrahim Index of African Governance⁵ placed Namibia 8th out of 54 countries in overall governance. According to Transparency International (2023), Namibia is ranked the 59th least corrupt country out of 180 countries in 2022.⁶ Nonetheless, citizens perceive corruption to be not only high but also on the rise.⁷

Economic Context

Namibia's economy mainly relies on the tourism, agriculture, fisheries and mining sectors. The services sector accounted for 54.2 percent, industry for 29.7 percent, agriculture for 8.38 percent, and fisheries for 4.5 percent of gross domestic product (GDP) in 2022.⁸ The country's vast conservation areas support wildlife tourism. Namibia depends on food imports (mainly from South Africa),⁹ despite an agriculture sector that provides a large share of employment, and a fisheries sector that generates, on average, 20 percent of export earnings.¹⁰ Mining remains a key sector, contributing to over 50 percent of foreign exchange earnings and accounting for 12.5 percent of GDP. Despite generating significant revenue, the value addition in Namibia's mining

industry remains low.¹¹ Positive diversification trends have occurred in Namibia's economy over the past three decades, but growth has not been inclusive.¹² Global and regional developments (e.g., Southern African Customs Union [SACU]) are important drivers of Namibia's economic performance.

In 2023, Namibia had a general government debt-to-GDP ratio of around 70 percent, up from 44.8 percent in 2015. Its external public debt-to-GDP ratio decreased as a relative share over this period, from 22.2 percent in 2015 to 19.7 percent in 2023, notably due to fiscal consolidation efforts.¹³ From 2014 to 2016, the Government of the Republic of Namibia (GRN) adopted an expansionary fiscal policy stance to stimulate growth amid the global economic slowdown. Total expenditure grew from 36.8 to 42.8 percent of GDP during this period, driven by high capital spending, transfers to state-owned enterprises (SOEs), and a high public sector wage bill.¹⁴

Namibia's economy went into recession in 2016, hit by sinking diamond prices and other mineral exports, as well as droughts, which impacted both industrial and agricultural production, together with Namibia's fiscal position. Following its increased fiscal deficit (9.3 percent of GDP in 2016), the GRN adopted a consolidation initiative in late 2016.¹⁵ The fiscal deficit narrowed to 4 percent in 2018–2019, but soon after increased to 8.1 percent of GDP in 2020 and 8.7 percent of GDP in 2021, exacerbated by the COVID-19 pandemic.¹⁶

In fiscal year (FY) 2023, the fiscal performance improved significantly with the deficit narrowing to 3.7 percent of GDP. This was notably driven by strong domestic resource mobilization and tax

compliance efforts by the newly established Namibia Revenue Agency (NamRA), coupled with higher domestic economic activity and diamond earnings. In its medium-term expenditure framework, the GRN is focused on returning the economy to a sustainable path through expenditure, tax policy and tax administration reforms, and using a blend of public-private sector investments to achieve a balanced fiscal stance and stabilize public debt growth.¹⁷ According to the International Monetary Fund (IMF), Namibia's fiscal deficit is expected to further improve over FY 2023-2024.¹⁸

Namibia's economy is recovering from the global economic crisis. Real annual GDP growth was around 2.1 percent over the period 2014–2018. It contracted by 8.1 percent in 2020, the largest decline recorded since independence in 1990.¹⁹ With the abatement of the pandemic, together with the associated relaxation of global lockdown measures and a resumption of international diamond trading, real GDP rebounded in 2021 and 2022 to 3.5 and 4.6 percent, respectively. But multiple shocks have led to inflationary pressures due to higher international oil and food prices. Inflation rose to 6.1 percent in 2022, up from 2.2 percent in 2020.²⁰ Hence, significant challenges remain, with 22 percent of the population being food insecure²¹ and 33 percent of the population unemployed.²² GDP grew by 4.2 percent in 2023²³ and is projected to grow by 3.0 percent to 3.8 percent in the period 2024–2026, buoyed by the continued economic recovery, particularly in diamond processing and exports, and increased consumption in wholesale and retail trade, and tourism. However, despite the economic recovery in 2022, the socio-economic situation failed to improve significantly.²⁴

Social Context

Namibia, covering an area of 825,615 km², stands out as one of the least densely populated countries on the planet, hosting a population of 2.53 million in 2024 (54 percent lives in urban areas). Namibia shares direct borders with Angola, Botswana, South

Africa, and Zambia. Its semi-desert climate lends it a unique landscape and remarkable biodiversity.²⁵

Poverty, Inequality and Human Development.

About 43.3 percent of Namibians are multi-dimensional poor, based on deprivations of living standards, health, and education. Based on the UNDP Human Development Report for 2021–2022, Namibia's Gini Index is among the highest in the world (59.1). The country is still classified as “medium” in the 2021–2022 Human Development Index (HDI) but with a decline since 2019. Its HDI performance score (index) decreased from 0.639 in 2019 to 0.615 in 2021. Between 2003 and 2015, Namibia saw a notable reduction in the extreme poverty rate, from 35.86 percent to 15.62.²⁶ However, growth has not been sufficiently inclusive. Income inequality and unemployment remain high (CSP 2020–2024, Mid-Term Review).²⁷ Income inequality is persistent due to discrepancies in the quality of economic opportunities and services, exacerbated by limited economic diversification.²⁸

National Strategies

Namibia's long-term development priorities are defined in its Vision 2030, launched in 2004. In this document, the GRN committed to make the country “a prosperous and industrialized Namibia, developed by its human resources, enjoying peace, harmony and political stability”. The goal is to transform Namibia into a high-income country with strong manufacturing and services sectors, where there are equal opportunities and fair income distribution for all Namibians.

To enact this vision, Namibia has implemented five consecutive National Development Plans (NDPs), which are enshrined in law and approved by Parliament. Based on these plans, sector-specific strategies (e.g., infrastructure, agriculture, health, education, water and sanitation, trade, industry, and climate), as well as subnational/district specific plans, are developed. Among these plans, NDP4 and NDP5 are the two plans relevant to the evaluation period (i.e., 2014–2023). These are detailed in Table 2.

Table 2: National Development Plans and Harambee Prosperity Plans

	NDP4	NDP5
Period	2013 -2017	2018 -2022
Main objectives	■ Achieving high and sustained economic growth averaging 6.0% a year ■ Job creation ■ Increased income equality	■ Achieve inclusive, sustainable and equitable economic growth ■ Build capable and healthy human resources; ensure sustainable environment and enhance resilience ■ Promote good governance through effective institutions
	HPP I	HPP II
Period	2016-2020	2021-2025
Main objectives	■ Effective governance ■ Economic advancement ■ Social progression ■ Infrastructure development and international cooperation	■ Economic progression ■ Social transformation ■ Environmental sustainability ■ Good governance

Source: Evaluation Team (2024), based on NDP4, NDP5, HPP I and HPP II.

The **Harambee Prosperity Plans** (HPP I and HPP II) adopted by the GRN were intended to accelerate the implementation of NDP4 and NDP5, respectively, by prioritizing key thematic areas illustrated in Table 2. In addition to the NDPs and HPPs, the Growth at Home Strategy (2015–2030) seeks to promote industrialization. The GRN also approved a National Policy on Special Economic Zones (SEZs) in August 2022 to enable Namibia to attract mega-industrial projects, with an improved incentive framework. Other policies being processed in relation to industrialization and private sector development (PSD) include the draft National Investment Promotion and Facilitation Bill, and the draft Informal Economy, Entrepreneurship and Start-up Policy. In 2021, the GRN established the Namibia Investment Promotion and Development Board to promote and facilitate local and foreign investments and new ventures in Namibia that contribute toward economic development and job creation.

In addition, several sectoral policies are in place. The 2018 Namibian Transport Policy²⁹ seeks to promote a multi-modal, safe, sustainable and inclusive transport system in support of Namibia becoming a logistics nation by 2025. The policy document highlights the need to develop a comprehensive approach to transport, including intermodal connectivity between the road, rail and port networks,

and the need to mobilize private sector investment to develop the logistics sector. The 2017 Transport and Logistics Master Plan, which complements the Transport Policy, set targets to increase transit traffic to neighboring landlocked countries from 12 percent in 2018 to 30 percent in 2025, and at its core is a threefold increase in the transit tonnage in Walvis Bay Port. To this end, the document highlights the need to address barriers to trade and to develop a strong corridor for transit traffic by developing critical connected infrastructure (ports, railways, roads).

Regarding regional integration and trade, Namibia is a member of the Southern African Customs Union (SACU) and the Southern African Development Community (SADC). It signed the Common Market for Southern and East Africa (COMESA)-East African Community-SADC Tripartite Free Trade Area agreement in 2015, securing access to a potential market of nearly 670 million people. Namibia also signed and ratified the African Continental Free Trade Area (AfCFTA)³⁰ Treaty in 2018. Deeper regional economic integration is critical for Namibia as a country with a small population representing a relatively small market seeking to create employment opportunities and diversification as outlined in the country's strategies, as well as the Bank's CSPs under review. The HPPs are also in line with the GRN's plan to position Namibia as a regional logistics hub. This

is interlinked with the country's closer cooperation and collaboration with neighboring countries, as well as harmonizing policies to ensure and facilitate the seamless movement of goods and people.

The water and sanitation sector is framed by several strategies, including the Water and Sanitation Policy for Namibia (2008), the National Sanitation and Hygiene Strategy (2019–2024), the Water Resources Management Act (2013), the Integrated Water Resource Management Plan (2010), and the Strategic Plan of the Ministry of Agriculture, Water and Forestry 2017/2018–2021/2022. These highlight the importance of water management in Namibia's arid climate, while addressing access to a reliable water supply.

The education sector is supported by strategies to improve both the quality and cost-effectiveness of education. Article 20 of the Constitution of the Republic of Namibia (1990) protects the right to free and compulsory education up to the age of 16. The implementation of Universal Primary Education (UPE) in Namibia in 2013 is a part of these constitutional rights. Other laws, policies and plans include the National Policy Options for Educationally Marginalized Children (2000), the Presidential Commission on Education, Culture and Training (1999, 2000), the National Policy on Disability (1997), the Sector Policy on Inclusive Education (2013), the Namibian National Plan of Action for Education for All EFA (2001–2015), the Ministry of Education Strategic Plan (2012–2017), and the Namibia Vision 2030.³¹ Meanwhile, the health and social services sector has been guided by the Policy Statement of 1990 and the 1998 Policy Framework, the National Health Policy Framework (NHPF, 2010–2020), and the Vision 2030, which all emphasize making the country free of poverty and inequality.³²

In addition to the Strategic Plan of the Ministry of Agriculture, Water and Forestry 2017/2018–2021/2022, Namibia's Agriculture Policy (2015)³³ highlights the importance of the agriculture sector as an employment creator (27.4 percent of the total workforce in 2012) and its potential

to generate economic growth. The goals set out in this policy include the "creation of a conducive environment for increased and sustained agriculture production and productivity", "the acceleration of the agriculture sector's contribution to national GDP", and the "promotion of national agriculture sector development across the value chain". Reducing dependence on imported food, enhancing food security, and supporting industrialization also represent major national objectives for the sector.

Finally, being a dry country with significant implications for livelihoods, and considering the importance of wildlife and fragile natural ecosystems in its tourist industry, Namibia has developed policies and strategies to foster climate change resilience, adaptation, and promote low carbon and green growth. These include the National Climate Policy (2011) and the National Climate Change Strategy and Action Plan (2013–2020), and the NDC Implementation Strategy and Action Plan (NDC-ISAP, 2023–2030), which consists of one overarching document supported by a set of sectoral action plan. Namibia's main priority climate change mitigation and adaptation actions are articulated in its submissions to the United Nations Framework Convention on Climate Change (UNFCCC) through the Nationally Determined Contributions (NDC) document submitted in 2015 (and updated in 2021 and 2023).

The Bank's Strategies and Portfolio

The Bank's Country Strategies

With its continued classification as an upper middle-income country, Namibia's per capita income is above the African Development Fund/International Development Association (ADF/IDA) operational cut-off and it is considered creditworthy for non-concessional financing from the African Development Bank window (ADB), which excludes ADF resources (Category C). The Bank commenced its operations in Namibia in 1991 as a partner to support the country in meeting its development challenges through ADB

resources and grants (i.e., Middle Income Country Technical Assistance Fund, the African Water Facility, and the Rural Water Supply and Sanitation Initiative).

Strategically, the Bank supports Namibia's development agenda, articulated in five-year phases by the National Planning Commission (NPC) through the Bank's corporate vision and institutional strategies, which provide overall guidance at the continental level. These include the Bank's Ten-Year Strategy (TYS) 2013–2022,³⁴ the Regional Integration Strategic Framework (RISF) 2018–2025,³⁵ the Private Sector Development Strategy (PSDS),^{36,37} the Financial Sector Development Strategy (FSDS),³⁸ the Jobs for Youth in Africa Strategy (2016–2025),³⁹ the Fragility Strategy,⁴⁰ the Climate Change and Green Growth Strategic Framework,⁴¹ the Gender Strategy,⁴² and the Strategy for Economic Governance in Africa (SEGA).⁴³

The regional integration policies for Southern Africa: Over the evaluation period (2014–2023), the Bank approved two regional integration strategies

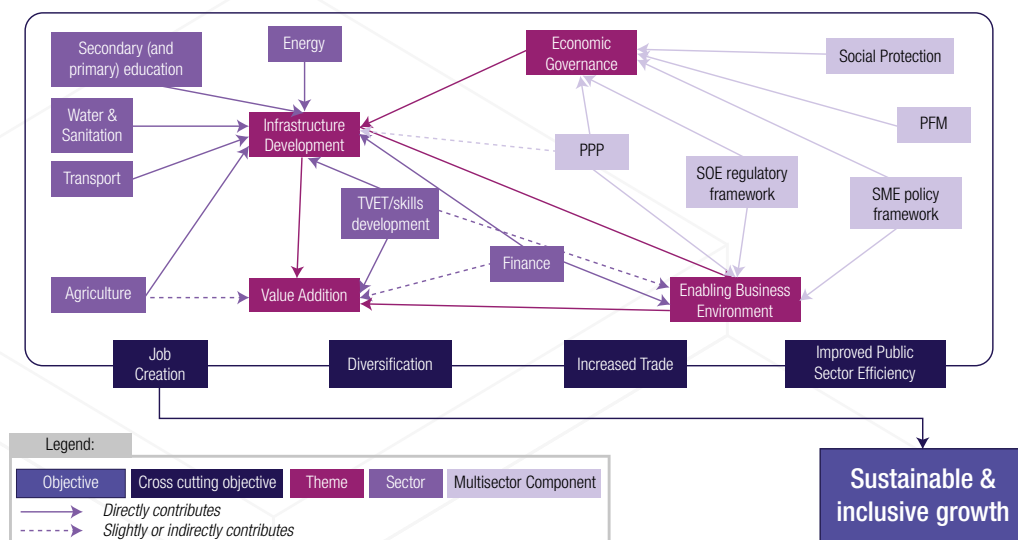
(RISPs) in the Southern Africa region. These aim to align with the Bank's major corporate strategies outlined above.

- RISP-SA 2011–2015 (which also guided the 2016–2020 period). The Bank aimed to create a fully integrated and internationally competitive region with the overarching objective of poverty reduction. To achieve this, the Bank identified two pillars: (i) regional infrastructure; and (ii) capacity building in support of infrastructure, including cross-cutting issues such as Regional Public Goods (RPGs) macroeconomic convergence, and knowledge management and networking.
- RISP-SA 2020–2026. Through this strategy, the Bank aims to achieve an integrated, diversified, and prosperous Southern Africa Region with inclusive and green growth. This strategy is articulated around two mutually reinforcing priorities: (i) infrastructure connectivity; and (ii) market integration and industrialization.

Table 3: Overview of the Bank's strategic priorities in Namibia over the two CSP periods

CSP Period	CSP 2014–2018	CSP 2020–2024
Objective	Contribute to inclusive and sustainable growth.	Help Namibia achieve sustained and inclusive growth through structural transformation.
Priority Area 1	Infrastructure with a focus on transport, energy and water: to contribute in (i) creating a well-functioning and reliable infrastructure system; (ii) upgrading, rehabilitation and maintenance of Namibia's road networks; (iii) developing an efficient and sustainable urban transport system; (iv) supporting regional integration with southern African countries; (v) ensuring the availability of uninterrupted, adequate, and environmentally friendly energy for competitiveness and efficiency in Namibia's economic activities (NDP4's objective); and (vi) increasing access to water supply for human consumption and industrial use.	Support economic governance for an improved enabling business environment: focused on: (i) improving Namibia's business regulatory environment and competitiveness through improved economic governance, specifically by sustaining macroeconomic stability; (ii) improving the ease of doing business; (iii) enhancing provision of pro-growth public services; and (iv) expanding support to SMEs to spur industrialization.
Priority Area 2	Private sector development through skills development and improving the regulatory environment. Focused on: (i) reforms, innovative entrepreneurship solutions and development of skills; (ii) private sector growth and economic diversification; and (iii) PPP development, growth of mining sector, SMEs and the deepening of financial inclusion.	Support infrastructure development and promote value addition. Focused on: (i) removing infrastructure bottlenecks that lead to high production costs, constrain Namibia's competitiveness, and thereby stifle private sector development. These include shortages of electricity and water supplies, and an aging rail network. And (ii) supporting private sector investments in value-adding economic activities with an emphasis on commercializing agriculture and agri-business to create decent jobs along value chains, especially for the youth and women.

Sources: Namibia CSP 2014–2018 (p. 15); and Namibia CSP 2020–2024 (p. 14).

Figure 1: Operational links between sectors, themes and CSP objectives

Source: IDEV Evaluation Team (2024)

Over the evaluation period (2014–2023), the Bank formulated two CSPs for Namibia: the CSP 2014–2018⁴⁴ and the CSP 2020–2024.⁴⁵ The CSPs were structured around two main priority areas: (i) infrastructure development for sustainable economic growth; and (ii) economic governance and the business-enabling environment. Table 3 and Figure 1 show, respectively, the objectives and key priorities for each of the CSPs and the operational links between sectors, themes and CSP objectives. Overall, these two CSPs have similar goals. Significantly, both pursue the objective of inclusive and sustainable growth. Both CSPs share pillars on infrastructure (transport, energy, water and sanitation), private sector development, and economic governance. Furthermore, they address the cross-cutting issues of climate change and green growth, gender, youth and skills development, regional integration and new technology

The Bank's portfolio in Namibia

The evaluation covers a portfolio of 20 projects distributed between six sectors: (i) water and sanitation; (ii) transport; (iii) social; (iv) multi-sector;

(v) finance; and (vi) agriculture, for an overall value of UA 1.249 billion.⁴⁶ This includes 10 sovereign loans disbursed through the ADB window, nine grants, and one non-sovereign operation.

Among the operations approved during 2014–2023: 10 projects are either completed or closed (41 percent of the total approved amount); eight projects are ongoing (41 percent of the total approved amount); and the two other projects (18 percent of the total approved amount) were approved but without disbursement. The three remaining projects approved before 2014 were completed.

The Figure 2 presents the evolution of the sectoral distribution of the Bank's portfolio per CSP period. It notably shows the change of focus of the Bank, from investing in six sectors to focusing on only three sectors. In addition, it shows the continuity of the multi-sector portfolio in terms of approved financing volume (about one-third of the portfolio) and the growing importance of the water and sanitation sector. No interventions in the finance, social and agriculture sectors were approved in the period 2020–2024.

Figure 2: Sectoral distribution of the Bank's portfolio (UA million)

Source: IDEV (2024). Calculated by the evaluation team based on SAP extraction and project documents.

In addition, non-lending activities were planned for a total of UA 12.29 million. To date, nine non-lending activities representing an amount of UA 9.57 million have been implemented (78 percent of the total planned amount). These include two activities targeting the agriculture sector (UA 4.83 million, 50 percent), two targeting the social sector (UA 2.2 million, 23 percent), two in the transport sector (UA

1.01 million, 11 percent), one in the multi-sector (UA 0.71 million, 7 percent), one in the finance sector (UA 0.71 million, 7 percent), and one in the water and sanitation sector (UA 0.11 million, 1 percent). Seven activities have been planned but not yet been implemented, including one in the energy sector, four in agriculture, one in transport and one in finance. ■



The lead plumber at Kai//Ganaxab Youth Skills and Training Centre, Mariental Urban Constituency.

Has the Bank Made the Right Strategic Choices?

This section addresses the extent to which the Bank's strategic choices were relevant in their response to national, global and corporate priorities and strategies over time, and the extent to which selectivity principles were applied. It also assesses the coherence of choices with other strategies and programs within the Bank and those of other Development Partners.

Relevance of the Bank's Strategies and Programs

The relevance of the Bank's support in Namibia was found to be satisfactory. Stakeholder consultations confirmed that the support **aligned** with the needs and priorities of the country and beneficiaries. However, in terms of the **design** of the Bank's program, the evaluation found a discrepancy between the priorities set out in the CSPs and the Bank's actual interventions.

Alignment of strategic objectives

The evaluation found the Bank's support to be well-aligned with Namibia's development needs, challenges, and priorities. Throughout both CSPs, the Bank targeted Namibia's needs and national priorities regarding economic diversification, infrastructure development, adequate institutional frameworks and professional skills, improved business environment, and access to finance for SMEs. The Bank articulated its strategy and program to meet these demands through the CSP priority areas, including infrastructure development and value addition (Pillar 1 of CSP 2014–2018 and Pillar 2 of CSP 2020–2024), and economic governance for an improved business environment (Pillar 2 of CSP 2014–2018 and Pillar 1 of CSP 2020–2024).

The evaluation found that the CSPs' strategic priority areas were also well-aligned to the Bank's strategies and policies. Both CSPs were well-anchored to the Bank's TYS 2013–2022 and the High 5s operational priorities,⁴⁷ and aligned with the two Southern Africa Regional Integration Strategy Papers (SA-RISP) 2011–2015 (which also guided the 2016–2020 period) and 2020–2024. They were also well-aligned to the Bank's Private Sector Development Policy and the Governance Action Plan 2013–2017. Although various interventions touch upon more than one of the strategic priority areas of the Bank (High 5s), the portfolio mapping to High 5s strategic priorities shows that 53 percent of the number of operations fall under "Improve Quality of Life", 27 percent under "Integrate Africa", 16 percent under "Industrialize Africa", and 4 percent under "Feed Africa".

Infrastructure development for sustainable economic growth

Priority Area 1 of CSP 2014–2018, 'Infrastructure with a focus on Transport, Energy and Water', and Priority Area 2 of CSP 2020–2024, 'Support Infrastructure Development and Promote Value Addition', were expected to facilitate the flow of private investment into higher-value economic activities, thereby fostering sustainable, inclusive growth and job creation.

The infrastructure priority areas of the two CSPs focused on three primary development enablers: transport, power, and water and sanitation. In the **transport sector**, Namibia aspires to become a regional logistical hub for the Southern Africa Region (Namibia Transport Policy 2018 and interviews with the GRN). Given its strategic location and small domestic market, regional integration is essential for

Namibia's growth prospects. The Bank's interventions in the transport sector clearly sought to advance this goal by improving infrastructure connectivity (notably to regional peers), lowering transport costs and travel times, reducing the costs of doing business, and creating lasting employment for youth and women, addressing Namibia's high unemployment. The Bank's support in the **water and sanitation sector** aimed to increase access to potable water supply, achieve sustainable production and consumption of water resources, and increase access to improved urban sanitation. These operations were highly relevant to Namibia's needs and priorities, and also corresponded to national water policy. The vulnerability of water supply to climate change and inadequate resource management have also recently elevated it to Namibia's most important development goal.⁴⁸ However, in the **energy sector**, the evaluation found that the Bank had not significantly addressed Namibia's needs. The CSP 2020–24 proposed expanding renewable electricity generation and transmission lines to increase access in urban areas, but this was not accepted by the GRN. Indirectly, the Bank supported investments of independent power producers (IPPs) in the renewable energy space through the Development Bank of Namibia (DBN) under the finance sector portfolio. The Bank recently launched a feasibility study for electricity grid reinforcement and expansion in the peri-urban areas and a streetlighting system in the City of Windhoek.

The evaluation also found the Bank's focus on the education, health, and agriculture sectors to be relevant. Education sector operations sought to contribute to both "hard" and "soft" infrastructure components, with a strong focus on the construction/rehabilitation of school infrastructure. These aimed to enhance the quality, access and equity in basic and vocational education and technical training, responding to the need to tackle the shortage of labor market skills through access to quality tertiary education and vocational training. In this regard, the Bank displayed a high degree of alignment with Namibia's needs and priorities, emphasizing youth skills development and TVET to achieve Vision 2030 of the GRN, catalyze future industrialization, and drive youth employment. In the **health sector**, the

feasibility study conducted to establish the national medical benefits fund aimed to reinforce the social security system covering only 15 percent of the population. The support objectives were relevant, as they aimed to develop health-care financing options to cover the whole population and develop a policy/roadmap for its implementation. In the **agriculture sector**, the Bank's intervention support corresponded to the national objective (NDP4 and NDP5 and the Growth at Home Strategy, 2015–2030) of reducing inequalities by improving farming practices and productivity in the disadvantaged areas of the country.

Economic governance and the business-enabling environment

Priority Area 2 of the CSP 2014–2018 and Priority Area 1 of the CSP 2020–2024, which aimed to improve the business environment through improved economic governance, were supported by multisector interventions. Policy-based operations' (PBOs) objectives were in line with both national policy and AfDB strategic priority areas of the High 5s, the Governance Strategic Framework⁴⁹ (GAP II) and the SEGA.

The evaluation found that the Bank's support comprising PBOs and the Middle-Income Country Technical Assistance Fund (MIC TAF) Public-Private Partnership (PPP) grant was relevant to the Namibian Development Agenda. Both CSPs are consistent with the GRN's goal (NDP4 and NDP5, HPPI and II) to improve the public sector, the public financial management (PFM) strategy and reform, and to stimulate job creation in the private sector by improving the investment climate, while protecting the vulnerable and reducing Namibia's income inequality. Fiscal consolidation was another central focus. Indeed, both CSPs express the need to contain growth of national debt, which had breached the country's self-imposed threshold of 35 percent of GDP⁵⁰. Specifically, the multi-sector interventions of the CSP 2014–2018 (the Economic Governance and Competitiveness Support Program, or EGCSPP) sought to provide much-needed support to the GRN during a fiscal crisis in 2016. The priority was

to reduce its residual fiscal gap. Later in 2020, the COVID-19 pandemic created an additional fiscal gap. The Bank's Governance and Economic Recovery Support Program (GERSP) aimed to strengthen the country's economy to face external shocks, such as fuel shortages and supply-driven inflation.

However, the evaluation found that in the finance sector 70 percent, of the DBN portfolio supported SOEs and not the private sector, as had been foreseen in the CSP. Seventy percent of the finance portfolio followed socio-developmental objectives that adhered to GRN policy, but did not align with the CSP ToC of creating an enabling environment for PSD. The public companies that benefited were pursuing development objectives outside of market incentives, potentially crowding out smaller private actors. However, DBN support to SOEs should not be seen as irrelevant, given that these investments can be strategic and contribute to national sovereignty, notably in energy autonomy, for instance.

Quality of design

The evaluation found a discrepancy between the objectives of the CSPs and the Bank's actual program. Significant gaps were found between the Bank's priorities in Namibia, as outlined in the CSPs, and its actual interventions. The following aspects were highlighted and prioritized in both CSPs but weakly developed within the portfolio: private sector development (only one private sector operation, namely a LoC to the DBN, which itself is a SOE), economic diversification and job creation, PSD, SME support and financing, PPPs, agricultural value chain development and industrialization (and, to a lesser extent, SEZ development), renewable energy potential, off-grid electricity solutions, and youth unemployment.

The evaluation also found the links between activities, outputs and outcomes to be weakly developed at the pillar level of the CSPs. Although established as pillars of the CSPs, the support to infrastructure development for sustainable economic growth, and to economic governance and the

business-enabling environment, was not subject to detailed strategic and holistic planning. In practice, the multiple lines of Bank support were often too scattered to tackle specific identified challenges. Consequently, gaps remained that prevented certain declared aims from being addressed in a holistic, integrated manner. For example, the aim of 'sustainable economic growth', a priority common to both CSPs, is very general, allowing disproportionate support to SOEs versus SME support. Over-investment in SOEs crowds out the space for entrepreneurship and financial risk, both necessary for SME development. Value addition, a key element of the CSP 2020–2024, did not materialize beyond meat processing and a few small manufacturing projects financed through the DBN LoC. In addition, while the Bank provided significant support for PPP development, the bulk of this support was at the upstream level (legal, regulatory and institutional strengthening), and not much at the midstream and downstream levels.

Selectivity. The Bank's portfolio in Namibia was found to be demand-driven and adaptive to GRN priorities and preferences. This made it difficult for the Bank to select interventions according to its own strategy, logic, and selectivity guidelines, and to plan and finance the projects in its CSPs' Indicative Operational Programs. Selectivity is the result, therefore, not only of the Bank's own prioritization process and CSP development but, crucially, how the Bank's offerings (the added value) are perceived to match GRN needs and their rate of acceptance. Bilateral discussions on investment needs, financing gaps, and potential Bank support take place every year after national budget approval. The Bank did not appear to track or measure what portion or percentage of its CSPs were ultimately accepted by the GRN and committed to a portfolio and pipeline. However, the Bank maintained its areas of intervention within broadly defined pillars that corresponded directly to GRN priorities and drew heavily from the Bank's comparative advantages. The focus on transport infrastructure as a key driver of economic development drew on the Bank's strengths and where it could add definite

value. Economic governance and PFM were other areas where Bank expertise and added value were recognized and integrated in a selective way.

The evaluation found that the Bank's interventions were adapted over time to respond to changing country and global circumstances. The Bank responded quickly to global events by establishing fast-disbursing PBOs in response to severe external shocks, such as the COVID-19 pandemic, multiple shocks, and economic and financial crises. For instance, in the agriculture sector, an Emergency Assistance Grant showed the Bank's relevant response to changing climatic conditions and environmental shocks. This grant sought to help in distributing food relief (maize meal, cooking oil and tinned fish) and added inputs (salt licks, fodder and water tanks) to drought-affected livestock farmers. It also sought to mitigate the negative impacts of locust and fall armyworm⁵¹ outbreaks.

Coherence of the Bank's Interventions

Coherence assesses the consistency of an intervention with other interventions in a country, sector or institution. This evaluation examined both internal and external coherence. Internal coherence refers to the synergy and linkages among the Bank's interventions. External coherence considers the extent to which Bank interventions were consistent with the interventions of other DPs.

Both internal and external coherence of the Bank's support to Namibia were found to be partly unsatisfactory.

Internal coherence, coordination and synergies

The degree to which Bank interventions were internally coherent and coordinated to create synergy among themselves—within and between sectors—was found to be limited for both lending and non-lending activities. **While the evaluation**

found internal synergies within some sectors (governance and transport), it identified limited collaboration between sectors in terms of maximizing synergies and portfolio coherence.

In the economic governance sector (whose two PBOs represented almost half of the Bank's portfolio over the decade), the Bank's contributions to maintaining macroeconomic stability in periods of crisis (and economic governance results in general) were found to have a cross-cutting effect on all sectors of the economy and to be critical in this regard. Moreover, reduced crowding out by the public sector is an underlying theme of both EGCSF and GERSF programs, which supported the Namibian economy across multiple sectors. Hence, fiscal consolidation was combined with PFM and PSD reforms to improve the business environment. This developed synergies, as all such factors influence job creation.

In addition, **the transport sector** projects (Transport Infrastructure Improvement Project [TIIP] and Walvis Bay Port Container Terminal) depicted clear synergies focusing on the Walvis Bay corridor, with an expanded container terminal and the development of a railway line contributing to linking Walvis Bay to the sub-region, helping to enhance Namibia's regional logistics hub potential. The finance sector could also be seen as coherent with other efforts around Walvis Bay, as it supported the Strategic Fuel Reserve and a fuel distribution terminal through the loan that the DBN extended to the National Petroleum Corporation of Namibia (NAMCOR).

However, few or no synergies were found beyond those two sectors. Examples of limited internal coherence included the **water and sanitation** interventions that were mainly focused on human consumption and water for industry but had little relation to other infrastructure projects or agriculture. The evaluation also found limited relationships between **agricultural activities** and the rest of the portfolio. For instance, the veterinary center funded under the **TVET** component at the University of Namibia (UNAM) in Windhoek catered for cats and

dogs, rather than farm animals, thus missing a complementarity. Similarly, TVET was tackled mostly through hard infrastructure support, leaving aside soft strategic aspects linked to training modalities, post-training support, and SME incubation. The opportunity to strengthen links between TVET and the private sector (particularly SMEs) was not seized.

The evaluation found that both CSPs contained all the necessary components to coherently drive coordinated and strategic PSD, SME and SEZ development, but in practice the actual interventions lost their intended synergies during implementation. No form of coordination among Bank activities was found in PSD support, particularly regarding SMEs. Nor does a concerted effort appear to have been made around GRN objectives to foster industrialization through SEZs, which could have benefited from a combination of transport, energy, water and sanitation, access to finance and provision of agricultural raw materials, as well as skills development through TVET. No value chain approach was developed, even support to certified seeds focused mainly on seed multiplication, leaving out breeder seed identification and paying very limited attention to marketing. Although both CSPs mentioned all these issues coherently, in practice their intended synergies failed to materialize.

External coherence, coordination and harmonization with other DP initiatives

The evaluation found that the Bank was viewed as a trusted partner with a comparative advantage in financing growth-oriented investment projects, especially in infrastructure. However, over the evaluation period, only limited collaboration was found to have occurred with other DPs. The Bank has chaired the Transport Sector Coordinating Group since 2018, with KfW as Co-Chair. Since 2016, a high-level DPs Forum has been launched and DPs have also created a Development Partners Dialogue Group. However, this does not appear to have led to significant levels of collaboration for the AfDB, as mentioned

in interviews with DPs. In the economic governance sector, the AfDB consulted with other lenders (such as KfW) during the planning of its PBOs, which provided macroeconomic support of US\$150 million over two years. External consultations also took place with the International Monetary Fund (IMF). In the case of support to NamRA, which receives technical assistance (TA) support from many sources such as World Bank, IMF, European Union (EU), and Gesellschaft für internationale Zusammenarbeit (GIZ), it is the GRN that coordinates support, although the Bank's PBO instrument facilitated the approval of the NamRA Bill, and the appointment of key senior staff.

Document reviews and interviews highlighted that the absence of a Bank in-country office was a clear disadvantage in ensuring external coherence. Documents and interviewed stakeholders expressed the view that the absence of a Bank in-country office, compared with other DPs that are present in the country, was a disadvantage in ensuring external coherence because it: (i) reduced opportunities for ascertaining the dynamic development needs of the GRN and strengthening the engagement between the country and the Bank; and (ii) led to missed opportunities, especially large infrastructure projects for which there is a need for co-financing. The Bank coordinates its interventions from the Southern Africa Regional Office and relies on its strong interaction with the Ministry of Finance (MoF) to coordinate with DPs. However, not having an in-country office was mentioned as a drawback by DPs, and opportunity costs were emphasized during interviews and in Bank documents (2022 CSP mid-term review). According to interviewees, if a greater coherence is to be achieved between the CSPs and Namibia's policy and development action, the Bank should pursue continuous and holistic dialogue around GRN policy to plan and ensure that AfDB action is provided where and when needed, and within a mutually agreed strategy. Without rigorous joint planning with other DPs, the Bank is limited to filling the financial gap, leaving aside its development partnership advisory role acquired from its vast experience in comparable contexts. ■



Young metal worker at the Kai//Ganaxab Youth Skills and Training Centre, Mariental Urban Constituency.

Has the Bank Achieved What it Set Out to Achieve?

Effectiveness

Effectiveness assesses the extent to which the Bank's interventions achieved, or are likely to achieve, and their expected objectives and results (outputs and outcomes).

Overall, the evaluation found that the effectiveness of the Bank's interventions was partly unsatisfactory across the two CSPs, as only 54 percent of the expected outputs and 50 percent of the expected outcomes were met at the time of the evaluation. Performance was found to be slightly better under the CSP 2014–2018 than under the CSP 2020–2024 (Table 4). However, performance is likely to improve over the remainder of the CSP period.

Effectiveness by pillar: Effectiveness was found to vary across the pillars, with stronger performance in the economic governance and business-enabling environment pillar, than in the infrastructure development for sustainable economic growth pillar (Table 5).

Infrastructure development for sustainable economic growth

The evaluation found that the Bank's support to road, port and railway network development

generated concrete contributions to efficient, well-functioning, safe and high-quality transport infrastructure to stimulate economic growth. For example, the New Port of Walvis Bay Container Terminal Expansion Project was completed, and the infrastructure is functional. In terms of outputs, the construction of the new container terminal was successfully completed (as expected) comprising 3.9 million m³ of dredging, 600m of quay wall built, 304,000 m² paved areas laid, workshop and administration buildings constructed, four STS cranes installed, 1.0km of road constructed, 2.3 km of rail laid, and the services reticulation completed. The project has fully achieved the required progress towards increasing the container terminal capacity from 355,000 TEUs to 750,000 TEUs per annum. In terms of outcomes, the increased handling capacity of containers contributed to improve the competitiveness of the port by reducing logistics and transport costs along transport corridors linking the port to the SADC region. The port's efficiency has increased (30 percent more berthing movements per hour), and vessel waiting time has reduced from over 8 hours to less than 8 hours, while container dwell time reduced from 14.5 to 9.5 days, against a target of 8 to 10 days. The overall increased capacity, faster and more reliable cargo-handling, combined with automated administrative processes at port entrance and exit, has decreased container turnaround times, while also reducing costs. As a

Table 4: Output and outcome targets achieved, 2014–2023

CSP	Outputs		Outcomes	
	Number of targets achieved / Total number of targets	Percent (%)	Number of targets achieved / Total number of targets	Percent (%)
CSP 2014– 2018	4/7	57	2/4	50
CSP 2020– 2024	2/4	50	3/6	50
Both CSPs	6/11	54	5/10	50

Source: CSP 2020–2024 Mid-Term Review and 2022 Country Portfolio Performance Review.

Table 5: Bank effectiveness ratings, 2014–2023

Targets	Effectiveness Rating						
	Economic Governance and Business Environment			Infrastructure Development			
	Economic Governance	Finance	Social	Energy	Transport	WSS	Agriculture
Outputs	Satisfactory	Satisfactory	Satisfactory	Unsatisfactory	Satisfactory	Unsatisfactory	Satisfactory
Outcomes	Satisfactory	Satisfactory	Unsatisfactory	Unsatisfactory	Satisfactory	Unsatisfactory	Unsatisfactory
Overall score	Satisfactory	Satisfactory	Partly Unsatisfactory	Unsatisfactory	Satisfactory	Unsatisfactory	Partly Unsatisfactory
	Satisfactory			Partly Unsatisfactory			

result, the port gradually improved its position in the Logistics Performance Index (LPI) between 2014 and 2023.⁵² Nevertheless, slow and cumbersome customs operations were still found to be hampering the full realization of time and cost savings.⁵³

In terms of increased regional integration and trade, developing investments in value-adding activities, and facilitating integration into regional and global value chains, the evaluation found that the Bank's support to the transport sector has not yet obtained measurable outcomes. This regional outcome can only be realized once the Namibian rail network has been fully connected to rail systems in neighboring countries. Currently, the only rail network connection is with South Africa. With the other contiguous countries (Botswana, Angola, Zimbabwe and Zambia), there is no existing rail connection, but new bilateral agreements to address this gap are being reported by the Walvis Bay Corridor group.⁵⁴ Further infrastructure investment, for example expansion of the Walvis Bay Port, and road and rail networks, is the only way to connect Namibia to regional markets, improve national connectivity, and also position Namibia as a preferred logistics hub. Outcome indicators such as railway transport market share have not yet improved as this project was only approved in 2023, but outcomes are expected to be delivered in the coming years.

The evaluation found that commitments planned for the energy sector were not realized. The Kudu Gas Power Project and its foreseen expansion

of production capacity from 400 MW to more than 750 MW, repeatedly mentioned in the CSP 2014–2018, failed to occur as planned. This was because: (i) the tariff resulting from a gas-to-power approach in Namibia was estimated to be too high; and (ii) to achieve a critical mass in terms of size, exports would need to be part of the project, but there were restrictions on available grid capacity (IPP development is on hold for the same reason). Despite the strong interest of the CSP 2020–2024 in renewable energy, the four IPP projects supported through the DBN LoC only produce 18 MW (compared with a foreseen output of 450 MW in the CSPs) from their small solar installations. The CSP 2020–2024 emphasized the Bank's intent to support energy self-reliance, with a “focus on expanding renewable electricity generation capacity and expansion of transmission lines to reduce Namibia's power supply deficit while promoting power trade through the Southern African Power Pool (SAPP)”. However, no interventions were undertaken in these areas. Similarly, planned contributions to improve the energy sector's legal, regulatory and institutional framework to promote efficiency and facilitate private sector participation also failed to occur.

The evaluation found that for the water and sanitation sector, the limited level of project advancement did not allow for significantly increased and sustainable access to safe water and sanitation. The Water Sector Support Program—the biggest within the sector—was approved in March 2020 and became effective in November 2020. Its level of disbursement at the

time of the evaluation was only 3 percent. Start-up delays were primarily due to poor project readiness and unfamiliarity with AfDB administrative processes, reporting requirements, and correct protocols.

The evaluation found the results achieved in the agriculture sector to be mixed.

The Humanitarian Emergency Assistance to Mitigate Effects of the 2019 Drought overachieved its target, with all expected outputs and outcomes achieved. For instance, a total of 4,720 beneficiaries (smallholder farmers receiving certified seeds) benefited from salt licks and fodder, of which 2,664 were male farmers and 2,056 females. These included small-stock and large-stock farmers. This accounted for 43.5 percent female beneficiaries and largely exceeded the expected target by 337.14 percent. However, in the Namibia Agricultural Mechanization and Seed Improvement Project (NAMSIP), a significant amount of equipment (notably 360 tractors) had been procured at the time of the evaluation, but these tractors were stored in administrative buildings and were not yet operational. Sprinkler and/or drip irrigation equipment were yet to be procured, and animal health centers were yet to be rehabilitated. The equipment was not yet functional, and the seed multiplication component was affected by drought (field visit, May 2024). In addition, the CSP 2020–2024 mentioned catalyzing the blue economy and increasing exports of value-added agricultural products, as well as reductions in food imports, but again (except for exports by the Meat Corporation of Namibia [Meatco]), results were not observed. Therefore, the expected outcomes of increased agricultural production for cereal crops and improved rural employment failed to materialize.

Economic governance and business enabling environment

The evaluation assessed the Bank's support to the governance sector as satisfactory overall.

As illustrated by Table 6, most of the output and outcome indicators exceeded their end targets.

The country was able to mitigate macroeconomic imbalances and prevent further GDP contraction (from a 7.9 percent contraction in 2020 to a growth rate of 3.2 percent for 2023). It revived private sector participation in key economic sectors, enabling the agriculture sector to grow by 2.6 percent and the industrial sector by 5 percent in 2022. Although satisfactory results were achieved, other important concerns remain incompletely addressed, such as audit, procurement, an Integrated Client Service Facility, and the lack of a formal national PFM strategy. The integration of the Human Resource Management Information System (HRMIS) into the Integrated Financial Management Information System (IFMIS) is pending. Interviews reported that progress toward these outputs is underway.

In terms of PSD, job creation and value addition, the Bank's governance interventions were found to have delivered outputs but no discernible outcomes.

Five feasibility studies were completed through the MIC TAF PPP grant, three more than originally targeted. A needs assessment was conducted, 890 people were trained in PPP through three-day workshops, 60 government staff were trained in public investment management, and a PPP budget manual was developed. However, according to interviewees, the PPP Unit is unlikely to deliver

Table 6: Governance sector output and outcome indicators, 2014–2023

Indicators ⁵⁵	Baseline Value	End Target	Most Recent Value
Private investments as share of GDP	14.4%	18%	13%
Number of new MSMEs created	-	300	220
Fiscal deficit/GDP ratio	9.9%	7.3%	5.2%
Private investments in agriculture (NAD million)	2,358	2,547	2,945
Private investments in industry (NAD million)	5,058	5,564	5,966
Social protection coverage (number of beneficiaries)	280,843	320,000	338,229

Source: PCRs, IPRs, site visits, interviews and focus group discussions.

Table 7: Education sector output and outcome indicators, 2014–2023

Indicators ⁵⁷	Baseline Value	End Target	Most Recent Value
No. of basic education facilities rehabilitated and or extended	-	14	23
No. of basic education facilities equipped with science lab, tech. workshop and boarding equipment	-	12	18
No. of TVET / higher education facilities constructed and equipped	-	4	4
Enrolment capacity of TVET institutions	25,000	42,000	42,430

Source: PCRs, IPRs, site visits, interviews and focus group discussions.

its first project by the end of 2024, despite the five feasibility reports being completed. Also, youth unemployment remained high (38 percent), and Namibia still has the second-highest Gini Coefficient in the world.

The Bank's support in social sector was found to be effective in narrowing education infrastructure gaps at the basic, higher, and tertiary levels, but its contribution to improved quality of TVET, increasing the supply of a middle-skills workforce, and building human capital has failed to materialize. The effectiveness of the TVET component is limited due to the focus on infrastructure and equipment without tackling the softer aspects of TVET, mainly curriculum development and training modalities (such as dual training) that directly connect trainees with employers (apprenticeships, on-the-job training, etc.). Shortcomings were particularly noted in the lack of linkages developed between the TVET centers and potential employers in related professional fields. Indeed, post-construction activities that would have rendered these infrastructure inputs operational and led to increased productivity, reduced unemployment, improved entrepreneurship, and business management skills were yet to occur. In Mariental, the TVET center still lies idle despite being completed two years ago.⁵⁶ In Keetmanshop,

the center was near the point of completion, so its anticipated outcomes could not be assessed at the time of the evaluation. Only the University of Namibia (UNAM) infrastructure in Windhoek was up and running and in a position to train veterinary students.

In the health sector, available data showed no progress in terms of the evolution of the public sector share of total health expenditure. Of the targeted 30 percent of the population with health insurance coverage, only 19 percent was achieved at the time of the evaluation. Three out of four background studies for the Support for the Establishment of National Medical Benefit Fund and Social Health Insurance were completed with the technical and financial support of different DPs. While the feasibility study was outstanding, it was not undertaken within the lifetime of the project. The study was originally planned to be completed in one year, but it was only finished after four years.

In the finance sector, although the DBN LoC wound up dedicating more than half its budget to State-Owned Enterprises, it has met most of its set targets at output and outcome level. Indeed, the LoC financed 42 sub-projects across a range of sectors, including manufacturing, renewable energy, and the construction of a fuel storage facility at the Walvis Bay Port, along with a fuel distribution plant. This

Table 8: Health sector output and outcome indicators, 2014–2023

Indicators ⁵⁸	Baseline Value	End Target (%)	Most Recent Value (%)
Public sector share of total health expenditure	54% (2008)	42	54
Population with health insurance	16% (2010)	30	19

Source: PCRs, IPRs, site visits, interviews and focus group discussions.

contributed directly to the development of the Port and, as such, to Namibia's aim to become a logistics hub, and to its industrialization efforts by ensuring fuel supply security.

However, the DBN had an ambition to develop infrastructure through PPP and private sector-promoted projects. It intended to facilitate the flow of private sector investments using new instruments, such as partial risk guarantees. The CSP 2020–2024 sought to develop private sector projects financed through the Bank's Private Sector Window (PSW), including PPPs in infrastructure. This failed to materialize, and neither did any of the PPP feasibility studies materialize into projects. Finally, the Bank undertook a series of Business Development Seminars (BDSs) to sensitize private sector actors on its financial tools, but this was not followed through with concrete actions.

Based on the interviews and documentation review, the evaluation identified a number of factors that affected the achievement of results, as follows: (i) incomplete implementation of projects (water and sanitation sector projects and NAMSIP in the agriculture sector), recent completion (TVET centers) or being part of a wider network of actions whose individual components were incomplete (e.g., railway network); (ii) staff turnover (training activities); (iii) lack of a more selective, strategic, and integrated approach to connect the sectors based on comprehensive, detailed assessments of a sector's needs, key drivers, stakeholders, opportunities, and challenges; (iv) over-ambitious objectives, exacerbated by the demand-driven dynamic of the GRN, resulting in a piecemeal, poorly integrated and incoherent portfolio, and a lack of a clear pipeline, making it hard to follow the CSPs' strategic orientations, and resulting in weak causal pathways within and between sectors; (v) lack of a permanent Bank presence (office) in Namibia, with remote management limiting opportunities for real-time, in-person coordination with government stakeholders and other DPs to tackle wider multi-sectoral development issues, such as skills development, job creation, value chain support and value-addition; and

finally (vi) the economic slowdown that accompanied the COVID-19 pandemic, and aggravated by multiple shocks, which hurt the profitability of SOEs supported by the DBN and led to government subsidies to SOEs that deterred small-scale entrepreneurs and SME start-ups.

Knowledge and policy advice

The non-lending program set out in the two CSPs sought to strengthen the Bank's technical and knowledge advisory role in Namibia to improve quality at entry, catalyze future lending opportunities, support implementation capacity, and inform policy dialogue.

Overall, the Bank was found to have engaged in limited policy dialogue over the period under review and provided limited sustained high-level policy advice. At the strategic level, the absence of an in-country office was seen to compromise the momentum and achievements of policy dialogue. At an operational level, resources to support policy dialogue beyond the periodic supervision missions were deemed limited. Analytical work was undertaken in various sectors (agriculture, water and sanitation, education, governance, transport, energy), mainly to inform the design of future Bank operations, but the evaluation found a mismatch between planned and implemented analytical work, with none of the analytical work (non-lending portfolio) planned in the CSPs being realized to date. This can be explained by the evolving portfolio and the GRN demand-driven cooperation modalities.

Policy dialogue

The evaluation found that, over the two CSP cycles, the Bank clearly defined its intentions to develop policy dialogue on specific and relevant themes. In the CSP 2014–2018, the Bank sought to strengthen capacity and skills for efficiency and innovation, as well as support policy and regulatory reforms aimed at creating conditions conducive to private sector growth and economic diversification

by developing a policy dialogue around five themes: (i) inclusive growth, poverty, inequality and gender; (ii) policy and structural reforms to improve the business climate; (iii) macroeconomic stability through fiscal consolidation; (iv) quality of public spending, including performance of SOEs; and (v) economic transformation, PFM and public procurement systems. **In the CSP 2020–2024**, components were similar, and concerned with the development of dialogue around: (i) fiscal consolidation to sustain macroeconomic stability; (ii) PFM reforms and enhancing public sector efficiency to achieve value for money and improved service delivery; (iii) SOE reform; (iv) strengthening government institutions, including the anti-corruption commission; (v) sustainability of infrastructure investments through adequate maintenance; (vi) land reform; and (vii) business regulatory and trade reforms to create enabling conditions for private investment, export diversification, sustained and inclusive growth, and job creation. These evolved toward: (i) post-pandemic recovery through budget support using the Policy Reform Dialogue Matrix and the indicative policy reforms, such as the full operationalization of NamRA, as a monitoring tool; (ii) the emerging renewable energy landscape and agenda; and (iii) the financing of climate change mitigation.

At the strategic level, the Bank focused its engagement on the Ministry of Finance, which acts as the main coordinator. According to interviewees, policy dialogue with other stakeholders (sector ministries, national agencies, etc.) was very limited. The fact that the Bank does not have an in-country office was seen by many interviewees inside and outside the Bank as compromising the momentum and achievements of ongoing policy dialogue. More generally, interactions with economic actors, the private sector in particular, and the various stakeholders within the industrial sectors, the TVET sector, and the institutions supporting employment were seen as too limited, with no structured organization and stakeholder mapping.

At the operational level, the Bank was found to mainly engage in dialogue during the design

phase of the projects, and supervision and monitoring. Interviewees noted a strong level of dialogue, especially in the economic governance sector, where the Bank developed significant high-level policy dialogue as part of the design of its PBOs around the related reforms and their corresponding indicators. Such dialogue included government authorities and national stakeholders, as well as the donor community. At the implementation and monitoring stage, the Bank was found to engage in policy dialogue mainly in-person, but insufficiently through its project supervision missions and completion missions. Supervision missions were planned twice a year for most sectors (except for the finance sector and multi-sector projects, which took place annually), usually lasting a week or less. This suggests that policy dialogue occurred in a periodic but condensed way. Key stakeholders, such as implementing units, expressed little awareness of the Bank's activities, including staff expertise and potential added value.

Analytical work

Evidence showed that, of the 16 planned pieces of analytical work, none was implemented, but a series of demand-driven non-lending support was provided instead. These included: (i) the Integrated Windhoek Urban Water Masterplan (financed through an African Water Facility (AWF) grant); (ii) the Public Expenditure and Financial Accountability Assessment (PEFA); (iii) support through the Korea-Africa Economic Cooperation Trust Fund for the development of an Intelligent Transport Systems Framework for Namibia, which was approved in May 2017; (iv) advisory services and feasibility studies to support the City of Otjiwarongo in its wastewater treatment and solid waste management system PPP, which was in an early stage of implementation; (v) technical assistance to the Namibia National Council of Higher Education through a MIC TAF PPP grant (this had not yet yielded results although it was likely to do so in the longer run, helping Namibia to improve its quality assurance system in higher education and contribute toward the development of relevant skills); and (vi) NDC Climate Finance support financed by

the Africa Climate Change Fund (development of two Green Climate Fund Project Concept Notes on Climate Resilient Water Security and Climate-Smart Food Security and capacity building of national stakeholders on accessing climate finance).

Interviewees expressed that the Integrated Windhoek Urban Water Masterplan and the design of the City of Otjiwarongo wastewater treatment and solid waste management system made valuable contributions to water governance in the two cities.

The evaluation found that the Bank supported the production of technical knowledge in the energy sector. This included: (i) assistance to conduct a due diligence review of the Kudu Gas-to-Power Project that assessed the technical and economic merits of the project and recommended key actions for the GRN and the project partners to ensure fair and competitive returns within the SADC regional electricity market; (ii) a transaction advisor who identified a mix of financing instruments for the project and recommended the support framework for the GRN through a package of guarantee options, thus improving readiness for the project; and (iii) assistance to conduct an independent review of the short-term power-supply solutions to provide the GRN with investment options, so as to overcome the electricity demand gap and the threat of load shedding. However, the Bank also intended to undertake economic and sector work for the Mega-Solar Regional Initiative, which was not done due to a lack of resources.

The Bank's program of analytical work was found to have been hampered by inadequate resource mobilization. Some non-lending activities were developed around infrastructure-related issues beyond undertaking the required preliminary and feasibility studies ahead of project preparation phase. For instance, the expertise of the Bank-funded PPP Resident Advisor helped to improve PPP governance, building on the legislative foundation of the PPP Act through training and procedures. However, the PPP Unit needs further support to address some key implementation issues,

such as a lack of funding, buy-in for the services of PPP development and capacity building. Apart from the recruitment of core staff to the PPP Unit and the conduct of five feasibility studies, the PPP Facility was not operational and had struggled to find champions to further promote PPP deals.

Cross-cutting issues

Gender

The evaluation found the mainstreaming of gender in Bank interventions to be limited. The Bank's approach was also mostly limited to seeking to work with quotas of women. The root causes behind gender inequity were found not to have been addressed, and the Bank's interventions could not be seen as gender transformative. For example, the Walvis Bay Container Extension Project's Gender Benefit Plan was not implemented. While this project recorded that over 300 women were employed during the construction period, such jobs were temporary and carried no structural and transformative dimension. Similarly, Phase 1 of the rail project indicated that 10 percent of the about 260 youth it employed during construction were women, but again these were temporary jobs with no measurable lasting impact. Except for the transport project TIIP II, none of the infrastructure-related interventions conducted a gender analysis or delivered a proper gender strategy on women's access to infrastructure or equipment, including employment in these sectors. Gender inequity regarding access to titled land was not touched upon in the agriculture sector, despite its consideration in both CSPs. The evaluation also found a lack of reporting on project impact for women.

However, regarding access to finance, the LoC to the DBN enabled the allocation of a substantial number of loans to women-owned businesses (36 percent). The Agricultural Bank of Namibia also relaxed some of its required criteria for collateral for women, although there is no indication that the DBN did the same. At the same time, no collaboration was attempted

with the Ministry of Gender and its Gender Fund that finances women-owned SMEs, and Affirmative Finance Action for Women in Africa (AFAWA), an AfDB continental initiative supporting access to finance for women and female entrepreneurship, was not approached to support the Bank's interventions in Namibia.

Despite this poor assessment at the intervention level, it should be noted that the new Namibian National Gender Policy (2022–2032) and the Women's Economic Empowerment Framework have recently been finalized as part of the Bank's PBO-supported reforms (GERSP specifically). The revised policy aims to address issues of poor coordination and the capacity of government agencies to advance gender mainstreaming and to provide adequate finances. A gender-responsive planning and budgeting training curriculum was developed, and training has already started to strengthen the capacity of officials within offices, ministries and agencies to implement a gender perspective in the national planning and budgeting processes.

Environment, green growth and climate change

The evaluation found that most of the Bank's interventions demonstrated compliance with its environmental safeguards, rules and regulations. Namibia's unique environmental context underscores the importance of undertaking Environmental and Social Impact Assessments (ESIAs) and implementing Environmental and Social Management Plans (ESMPs). Compliance with Bank regulations was enforced in all infrastructure projects. For instance, the new airport road brought about a collaboration between the Roads Authority and UNAM to undertake an Environmental Impact Study, including ongoing monitoring until the end of the construction period. Although undertaking Climate Risk and Vulnerability Assessments for infrastructure investments is not yet a mandatory requirement, the new transport infrastructure improvement investment integrates climate risk

and greenhouse gas mitigation analyses to inform subsequent project phases.

While the power and transport sectors are subject to strict regulation to prevent negative environmental impact, they are themselves not subject to climate change or environmental degradation in the same ways as the water and sanitation and agriculture sectors in Namibia. In both the latter sectors, no particular care seemed to be given, outside the Bank's water and sanitation projects, to estimating existing water reserves or to ensuring a sustainable usage of Namibia's scarce water resources for drinking or irrigation. The CSPs indicated that work on innovations in desalination, aquifer recharging, water-saving technologies, and water treatment and recycling would be undertaken, but the evaluation could find no evidence of this yet.

In the agriculture sector, the cropping systems promoted by NAMSIP go against the principles of agroecology, promoting subsidized chemical fertilizer (50 percent subsidy), phytosanitary product use and mechanization. Such practices generate a strongly negative carbon footprint and cannot be considered environmentally friendly or adaptive to climate change.⁵⁹

In renewable energy and green growth, some investments were financed through the DBN. These included three 5MW solar projects and one wind farm financed through loans of US\$3.6 to 6.0 million each. All were classified as 'women-owned businesses' and created a total of 20 jobs for about US\$18 million in loans. Table 9 presents the projects and their respective values.

The Bank's contributions to Namibia's growing social protection system are expected to improve the identification of vulnerable persons in future climate-related or pandemic events. Specifically, the Bank supported an Integrated Management Information System (IMIS), which will have the capability to consolidate information on applicants, beneficiaries, and payments of all social protection schemes, and will be linked to other government databases.

Table 9: DNB renewable energy projects, 2023

Sub-project	Project Description	Employment No.	Loan Amount (NAD)
Camelthorn Investments	Solar PV Project (5MW)	6	71,989,575
OLC Solar Arandis	Solar PV Project (3MW)	5	85,248,194
Ombepo Energy	Wind Farm Project (5MW)	5	119,569,405
Osona Sun Energy	Solar PV Project (5MW)	4	84,000,118

Source: DNB Development Impact Report (July 2023).

Inclusiveness and reducing fragility

At the strategic level, despite the two CSPs highlighting the need for inclusive economic growth, including job creation for youth and women, the evaluation found that the Bank's program did not identify specific segments of the population or demographics to target. For instance, by focusing on development corridors and large infrastructure, the Bank chose instead to support the economy at large, without specific attention for the most vulnerable or tackling wealth disparities.

At the operational level, the evaluation found the agriculture and water and sanitation sectors to have the most concerted drive toward inclusiveness. Indeed, the issue of tractor (and other equipment) ownership and management was driven by the GRN's desire to ensure that the most fragile could benefit equally from tractor services. Initially, the tractors were meant to be sold at half-price to vulnerable groups of farmers. However, even under these conditions, authorities concluded that only the richer producers would acquire a tractor and develop an income-generating activity. As a result, they decided to distribute the equipment to local agricultural public authorities and have them provide the service. In the water and sanitation sector, the Bank's Water Sector Support Program (WSSP) targeted regions (mostly in the north of Namibia) with lower access rates and was thus likely to benefit more fragile categories of the population lacking water access.

The TVET interventions were also assessed as presenting a good degree of social inclusiveness. The support for primary and secondary education is

likely to benefit the more vulnerable more prominently than others. The geographic placement of these institutions deliberately aims to improve access for remote and rural populations whose access to employment opportunities is limited compared with urban residents.

In terms of wider development results, the Bank's effects on inequality and unemployment were difficult to track. Namibia has made significant economic and social progress in the decades since independence, but high-income inequality and unemployment persist. Economic growth has not been sufficiently inclusive. In relation to the Bank's portfolio, the limited traction achieved toward SME development is unlikely to reduce inequality.

Promoting innovation and the Fourth Industrial Revolution

The Fourth Industrial Revolution (4IR) is understood as the trend toward automation and data exchange in manufacturing technologies and processes, which include cyber-physical systems, the Internet of Things (IoT), cloud computing, cognitive computing, and artificial intelligence. The evaluation found no indication that the Bank engaged in promoting innovations in any combination of these technologies.

The only potentially related example was the Bank's support of US\$ 335,000 through the Korea-Africa Economic Cooperation Trust Fund for the development of an Intelligent Transport Systems Framework for Namibia, approved in May 2017.

The National Policy on Sustainable Special Economic Zones⁶⁰ was approved by the Namibian Cabinet in 2022, supported by GERSP, to foster a

pro-innovation environment. However, interviews showed that the Bank's approach did not appear to have sufficient support for start-ups, training for small businesses, or facilitation of the wider start-up ecosystem, including access to finance. The Bank was found to be not sufficiently part of the debate through dialogue to provide adequate solutions to beneficiaries, businesses, or ministries.

Sustainability

Sustainability is assessed by examining the extent to which achieved results and benefits are expected to last, and the main risks to achieving that sustainability. The evaluation assessed different dimensions of sustainability, namely technical soundness, financial sustainability, institutional sustainability, and environmental and social sustainability.

Overall, the evaluation found the sustainability of the Bank's support in Namibia to be partly unsatisfactory, with limitations in institutional capacity and measures for ensuring financial sustainability. Technical soundness, as well as environmental and social sustainability, were found to be satisfactory.

Technical soundness

The evaluation found the infrastructure and equipment put in place through the Bank's investments to be technically sound. Benefits from the use of infrastructure and equipment were expected to continue after the completion of the interventions. During the interviews and site visits, the evaluation team noted no issues regarding the technical soundness of any of the investments. The various infrastructure projects (built-in road, rail, and shipping) were all deemed to be technically sound. Infrastructure in the social sector, under education and TVET, also appeared to be structurally sound and was expected to last a minimum of 10 years or longer with adequate maintenance.

Financial and economic sustainability

The evaluation found the future financial sustainability of transport infrastructure, including maintenance, to be at risk. In general, the Namibian road sector is very active and receives sufficient budget allocation for the construction of new roads. However, according to interviews, the current budget allocated to the Roads Authority only covers 50 percent of road maintenance costs nationwide. The Walvis Bay Port project completion financial analysis also gave negative returns on both equity and project analysis. Moreover, container traffic remained lower than expected. There was a 75.3 percent decline in the throughput compared with rates at the time of appraisal given the drop in transshipment container cargo after the Project Completion Report (PCR). This unanticipated turn resulted in a steep drop in projected revenue. Trade volumes and container traffic could pick up again in the future, but there are many regional and international factors that govern supply and demand in maritime shipping. Without increased multi-year revenues to provide costly mechanical maintenance and technical oversight, the physical sustainability of the port infrastructure is therefore uncertain. Regarding the railway line, until the line is extended to its full planned length completion and connects Walvis Bay to neighboring countries, the financial sustainability of the line will also remain uncertain. The issue of inadequate rolling stock (aged engines) has not been resolved. The financial sustainability of the railway has yet to be guaranteed over the long term, as TransNamib is entirely owned and operated by the GRN, whose financial support for the railway has declined steadily since independence.⁶¹

In the finance sector, the evaluation found concerns regarding the high observed rate of DBN non-performing loans (26 percent). This is largely due to the economic downturn following the COVID-19 pandemic and multiple shocks, which may affect the long-term profitability of the LoC.

Regarding economic governance, with anticipated changes, such as improved PFM, the prospects for sustainability are deemed higher. Bank PBO loans, extended in South African Rand (ZAR), are less subject to inflation. The risk of default is therefore low. However, as SOEs continue to be subsidized in times of crisis, this constitutes a disincentive to private sector development.

Institutional capacity and ownership

The evaluation found that the Bank contributed to building Namibian institutional capacity and stakeholder ownership, although results varied across sectors. Projects generally included the provision of training and capacity building to the main actors in all sectors, allowing them to gain sufficient skills to manage and operate the infrastructure and equipment provided. In some cases, GRN ministries and implementing agencies found ad-hoc solutions to expose national employees to the technical experience and knowledge of foreign contractors, to help build Namibian capacity. For instance, during the Walvis Bay Port Expansion Project, NamPort ensured that local consultants and national contractors were given the opportunity to work alongside the main contractor, China Harbor Engineering Company (CHEC), throughout the implementation of the project. This experience exposed local companies to the latest technologies employed during port expansions. Furthermore, 30 graduate engineers were seconded to the project during the construction phase over the five-year project period. Among its planned reforms, NamPort is also studying the feasibility of a 'landlord port model',⁶² which would separate the functions of the port authority and a private sector operator to handle port operations. Such an arrangement is thought to contribute positively toward its future financial and institutional sustainability, and to generate further partnership opportunities and interest from investors and DPs, most recently the EU.⁶³

In the agriculture sector, in contrast, the evaluation found significant concerns with regard to ownership and maintenance regulations for distributed equipment that were

unavailable despite the Namibia Agricultural Mechanization and Seed Improvement Project (NAMSIP) being in its fifth year. The modalities of service delivery had not yet been decided, and it was unclear how the equipment would be managed to ensure the expected future productivity and efficient use of the investment. Similarly, the animal health centers had not been set up and there was no clarity on how they would be operationalized, making future sustainability difficult to assess. The certified seed was reportedly heavily subsidized and therefore dependent on future government policy for its sustainability.

The evaluation found that regarding PFM, evidence for sustainable results was stronger. The reforms effected by the PBOs have left an important legacy and basis for continued strengthening of PFM in Namibia. The development of NamRA, improved tax collection, the SOE performance scorecard, SME and investment policy are all measures that will remain useful in the coming years. A strong focus and deliberate intent among GRN leaders at the MoF Debt Unit, NamRA or the Public Enterprise Department, the NPC, and the PPP and Procurement Units, as well as in line ministries, to pursue and sustain adopted reforms was observed. This is backed by a Presidential strategy, the HPPs and the willingness to use the support of the DPs to maximum effect, generating extra impetus to sustain PFM reforms now and in the future.

Sustainability across the wider sector of economic governance is fragile, however, as it depends in part on the continued implementation of the PFM and SME reform measures, which are relatively recent and have yet to demonstrate wider impact. Furthermore, the health and sustainability of economic governance is determined by many other factors beyond the Bank's ability to support.

Environmental and social sustainability

The evaluation found that, overall, all projects had anticipated and/or implemented and monitored ESMPs. Staff and management were trained in

environmental and social aspects, and a dedicated expert was appointed to oversee compliance, assess risks, and propose corrective actions when necessary. For instance, in the **transport sector**, environmental sustainability was articulated in the 2001 Forestry Act and in the 2012 Environmental Management Act. Environmental and Social Impact Assessment aspects were found to have been considered for all transport projects. The projects took environmental and social mitigation/enhancement measures into consideration. In addition, dedicated officers were appointed to oversee ESIA aspects in the construction of infrastructure and the projects reported on environmental issues regularly.

In the **water and sanitation sector**, although the Namibia WSSP is in its early implementation stage, environmental and social (E&S) issues were found to be included in the design of the project. In the **finance sector**, interviews showed that management and

staff were trained on the Environmental and Social Management Policy and procedures. In addition, the DBN had developed its own ESMP that meets the Bank's requirements. The DBN also developed E&S guidance for biodiversity and ecosystems specific to industries (i.e., building materials, construction, the financial industry, the hotel industry, and the pharmaceutical industry). An expert was hired to drive the mainstreaming of ESMPs into projects.

The GRN recently started to articulate, together with the Bank's support, a Blue Economy Strategy, which will identify and prioritize the country's economic opportunities to enhance the greening of the tourism and agriculture sectors. Its results are yet to be seen.

With these mixed results on the various dimensions of sustainability, the overall sustainability of the Bank's support was deemed partly unsatisfactory. ■



Wheat products from the Agricultural Mechanization and Seed Improvement Project in Outapi.



The construction of a seed processing plant at Omahenene Research Station was co-funded by the African Development Bank.

Has the Bank Undertaken its Interventions in the Right Way?

Efficiency

Under this criterion, the evaluation examined the extent to which resources were used efficiently, including timeliness of implementation, use of budget resources, and economic rates of return (ERRs), where data were available.

Overall efficiency of the Bank's support to Namibia was found to be partly unsatisfactory. Most of the Bank's interventions encountered delays in project start-ups and during implementation. While interventions were mostly delivered in an efficient manner and at an acceptable cost for a satisfactory level of

quality, the evaluation identified inefficiencies in the infrastructure operating phase, together with management and maintenance.

Timeliness and compliance

The evaluation found that although the Bank interventions were implemented in compliance with operational standards in line with the Bank's rules and procedures, significant implementation delays occurred during the evaluation period. The Bank's interventions were frequently late, often by several years. Delays recorded across the portfolio are shown in Table 10.

Table 10: Delays in the Bank's portfolio, 2014–2024

Sector	Project Name	Status	Approval Year	Planned Completion Date	Expected / Actual Completion Date	Delay
CSP (2014–2018)						
Agriculture	Namibia Agricultural Mechanization and Seed Improvement Project	Ongoing	2017	Dec 2022	Aug 2024	2 years
Transport	Namibia Transport Infrastructure Improvement Project	Ongoing	2017	Dec 2020	Dec 2025	5 years
Water/ Sanitation	Windhoek Integrated Water Supply and Sanitation Master Plan	Ongoing	2018	Dec 2020	Dec 2024	4 years
Finance	Development Bank of Namibia	Completed	2015	Jan 2023	Jan 2023	No delay
Social	Education and Training Quality Improvement Project	Completed	2017	Dec 2022	Jun 2024	1.5 years
Transport	New Port of Walvis Bay Container Terminal Project	Completed	2013	Sep 2019	Sep 2019	No delay
CSP (2020–2024)						
Transport	Namibia Transport Infrastructure Improvement Project - Phase II	Approved	2023	Dec 2028	On track	No delay
Water/ Sanitation	Water Sector Support Program	Ongoing	2020	Dec 2025	Dec 2026	1 year
Water/ Sanitation	City of Otjiwarongo Wastewater Treatment and Solid Waste Management System	Approved	2022	Jan 2023	On track	No delay

The evaluation found that the project start-up process, particularly from approval to signature, was prolonged. The portfolio analysis showed that about 60 percent of the operations approved between 2014 and 2023 were delayed during the start-up phase, on average by a period of 10 months. Over the evaluation period, the average time taken from approval to first disbursement remained above the Bank's target of 6 months but dropped from 13 to 8 months between 2013 and 2019, and then from 4.8 in 2020 to 3.7 months in 2022 (Country Portfolio Performance Review CPPR, MTR). Moreover, during the CSP 2014–2018 period, the portfolio's average time from approval to actual first disbursement was 11 months, exceeding the Bank's six-month Key Performance Indicator (KPI) under Presidential Directive PD/02/2015, in force at the time. In four instances, the Bank granted waivers to avoid loan cancellations due to delays in effecting the first disbursements. In addition, one operation (Windhoek Integrated Water Supply and Sanitation Master Plan) was significantly delayed in reaching the first disbursement, taking 17 months from approval in January 2018 to the first disbursement, which occurred in July 2019.

Projects also experienced delays during implementation (Table 10). **Key factors that contributed to project delays during implementation** included, among others: (i) weak national capacity to meet compliance with Bank fiduciary requirements, safeguards and regulations; (ii) weak project readiness and poor quality at entry, while embarking on projects with detailed designs either not available or incomplete; (iii) low capacity of executing agencies in project management and lack of dedicated full-time staff; (iv) limited knowledge of Bank procurement rules and procedures in completing disbursement forms, submissions of financial statements and audits, and M&E; (v) global and local events such as the COVID-19 pandemic, droughts and floods, multiple shocks, fuel shortages and supply-driven inflation; and (vi) the Bank's physical absence in Namibia to strengthen its assistance to project implementation.

Interviews with Namibian counterparts also indicated that, in many instances, they were in a learning curve phase regarding acquaintance with the Bank's procedures. Government counterpart agencies required continuous awareness-raising on reporting mechanisms, disbursements, procurement, policies and procedures, and cross-cutting issues, including environment, climate change, gender and social safeguards.

Efficiency in the use of resources

The evaluation found that Bank infrastructure interventions were mostly delivered in an efficient manner and at an acceptable cost for a satisfactory level of quality. The infrastructure projects' cost was within the range of average construction costs in Namibia, notably for the transport and social sectors (education/TVET). As for the water and sanitation and agriculture sectors, infrastructure had not yet materialized and, as a result, their economic efficiency could not be assessed. Although initially estimated ERRs tended to decrease slightly at completion, they remained globally acceptable. The ERR of the New Port of Walvis Bay container terminal reached 13.13 percent. Estimates in the case of the Namibia Transport Infrastructure Improvement Project were at 19.6 percent for Phase 1 and 11.6 percent for Phase 2.

Beyond infrastructure construction, the evaluation found inefficiencies in the infrastructure operating phase, management and maintenance. For instance, in the agriculture sector, the ownership and management models associated with farming equipment had not been agreed upon at the project launch and were yet to be determined at the time of the evaluation. In relation to the social sector, the revision of the TVET curriculum was under discussion in 2016, which made it difficult to launch TVET support.

Partnerships and leverage

The evaluation found that, throughout project preparation, the Bank engaged with other DPs in Namibia to enhance collaboration and coordination, but it did not develop or jointly finance projects with the DPs at any significant level. Only in the transport sector, parallel financing with the Chinese Government and the GRN contributed to the construction of the dual carriageway from the City of Windhoek to Hosea Kutako International Airport. Of the 48.8 km of road, the Bank was financing 19.5 km.

In the economic governance sector, there was consultation with a set of other donors (IMF, KfW, Agence Française de Développement [AFD], GIZ, and UNICEF), which were also supporting the GRN's program in social budgeting. Indeed, funding gaps were also met with support from other external partners. However, such support was coordinated between the GRN and the other DPs, independent of any coordination or planning with the AfDB. Regarding private sector development, the Bank intended to play a catalytic role by crowding in financing from other financial institutions, such as private commercial banks and pension funds, but this did not arise as anticipated by the second CSP (2020–2024).

Owing to the GRN's desire to limit its collaboration with DPs to financing gaps while planning for

its pipelines, collaboration and partnerships between DPs was less frequent, and leveraging resources around development initiatives fell primarily into the hands of the GRN. However, the potential for collaboration and partnerships exists. Since the opening of the Bank's Southern Africa Regional Development and Business Delivery Office (RDGS) in January 2012, the Bank's engagement with Namibia has expanded significantly. The Bank is now Namibia's largest DP and opportunities for co-financing with other DPs and financiers are numerous. For instance, in the renewable energy sector, several investors are already lined up. The French IPP, HDF Energy, expected its NAD 3.1 billion green hydrogen power plant—Africa's first—to start producing clean electricity by the end of 2024. The EU also plans to support the country's green hydrogen sector from which it will import to reduce its dependence on Russian energy. The Namibian-registered Hyphen Hydrogen Energy signed an implementation agreement for a US\$10 billion project with the GRN on May 23, 2023.⁶⁴ In April 2021, a Memorandum of Intent was signed for the Mega Solar initiative—a partnership between Botswana, Namibia, Power Africa, the AfDB, and the World Bank Group—to harness solar energy power in the region. To date, however, the Bank had not meaningfully collaborated with these various initiatives, despite strong commitments made in the ongoing CSP 2020–2024. ■



Aerial view of part of the Kai//Ganaxab Youth Skills and Training Centre in Mariental Urban Constituency.

Borrower Performance

The evaluation found that the GRN showed clear leadership in terms of aid coordination and viewed itself as the guarantor of aid alignment and harmonization. The GRN prioritizes using its own resources to fund development projects, and approaches financiers when it suffers a financing gap. Discussions on investment needs, financing gaps, and potential Bank support take place annually after budget approval. How far this maximizes DP support is questionable, however, as collaborations and partnerships between development actors are few and infrequent. The National Planning Commission (NPC) reported⁶⁵ in its Annual Report (2020/21 and 2021/22) that Overseas Development Aid (ODA) to Namibia had fallen to just 2 percent of GDP (compared with 5.8 percent after independence), partly as a result of Namibia's upper middle-income country status.

The framework for aid coordination has improved significantly since the establishment of the high-level DPs Forum in December 2016. This is typically chaired by the Prime Minister and meets twice per year. The Prime Minister's leadership ensures high-level government commitment and facilitates strategic discussions and decisions. Separately, DPs created a Development Partners Dialogue Group, an independent, ad-hoc platform for enhancing coordination and effectiveness.

Interviews indicated that the GRN showed strong leadership in participating in the design and implementation of the Bank's interventions. However, the timely provision of counterpart funding was sometimes a challenge. The provision of counterpart funding has, on occasion experienced delays, as was the case, for instance, in the implementation of the New Port of Walvis Bay Container Terminal Project. Likewise, compliance with AfDB loan covenants and conditionalities, as well as application of Environmental and Social Safeguards (ESS) and respect of procurement rules and procedures, is acceptable despite delays mainly in ensuring timely signature of loan/grant agreements and compliance with loan/grant effectiveness conditions.

The evaluation also found the under-representation of Namibian firms in international tenders to be an issue in some projects. This was the case for Namibia's Transport Infrastructure Improvement Project and the Education and Training Quality Improvement Project (ETQIP). This was due to the relatively limited capacities of Namibian companies, which are often at a disadvantage in large Bank tenders with respect to international companies. The capacity of local contractors may need to be further built to enhance their capability to compete effectively for international tenders in line with the GRN's economic empowerment policy. ■



The African Development Bank is supporting Namibia to modernize its railway infrastructure.

Bank Performance and Managing for Development Results

The Bank has implemented a performance management strategy that focuses on the achievement of outputs, outcomes and impacts with partial success. The Bank has effectively supported the development of national capacities and economic management systems, including monitoring and evaluation (M&E) systems that focus on results. However, if the results measurement and reporting are clear at the operations level, challenges still exist at the CSP pillar level. For instance, socio-economic development, skills development, private sector development, job creation and value addition, were not monitored in a rigorous and comprehensive way.

For the Theory of Change expected outputs to be translated into outcomes and to achieve impact is a challenge. While outputs have been achieved, outcomes have been limited and the likelihood of the Bank's interventions contributing toward impact (long-term results) is uncertain.

The Bank performed field supervision missions twice a year to assess progress. Implementation Progress and Results Reports (IPRs) were prepared to show project performance status, findings, key issues, lessons learned, and corrective measures and their deadlines. However, the evaluation found no clearly established system to measure progress in terms of the contribution of these projects to the CSPs' higher socio-economic expected development results that the Bank is striving to achieve or contribute toward.

The CSP M&E is conducted in conjunction with the GRN (the NPC) as part of its national strategic monitoring process. The Bank holds regular quarterly portfolio performance assessment sessions, allowing executing agencies and the Bank to continuously resolve implementation issues. In the absence of a clear pipeline and lending program, the results framework is based on the broad NDP results framework and does not indicate specific output targets for the Bank. Only Bank interventions have indicators specific to the Bank and these are defined at the project level, not at the portfolio level. ■



The veterinary center is funded by the African Development Bank under the TVET component at the University of Namibia (UNAM).

Conclusions, Lessons, and Recommendations

Conclusion

The evaluation concluded that the Bank's support responded to the needs of the Namibian population. It was aligned with national policies and strategies, and with AfDB policies at the regional, continental and global levels. The Bank's interventions demonstrated adequate adaptation capacity when confronted with sudden changes (e.g., socio-political landscape, the COVID-19 pandemic, droughts). However, several objectives of the CSPs (i.e., youth unemployment, SME development, value addition) were either tackled weakly by the interventions or failed to materialize. Overall, the evaluation rated **Relevance as satisfactory**.

The evaluation found some internal synergy within each sector, but weak collaboration between sectors in maximizing synergies and portfolio coherence. In addition, the Bank's portfolio followed GRN strategic directions and filled financing gaps where public funding or capacity was sought, while the GRN played an important role regarding DP coordination and harmonization. However, there was limited dialogue and collaboration between the Bank and other DPs, exacerbated by the absence of a Bank in-country office, thereby limiting the external coherence of the portfolio. Overall, **Coherence is rated as partly unsatisfactory**.

The evaluation rated **Effectiveness as partly unsatisfactory**. In infrastructure, most outputs were attained for completed or nearly complete projects and were expected to yield positive results. Several projects were still at an early implementation stage (WSSP, NAMSIP, TIIP II) and showed few observable outputs and no observable results. The Bank's commitments planned for the energy sector were

not realized. As the bulk of the Bank's allocations, multi-sector projects had a high level of output achievement and contributed to key objectives of fiscal consolidation, social protection and improved SOE performance. The Bank contributed to improving the PPP framework, but results are yet to materialize. Most sectoral results are expected to support key CSP pillars (economic governance and improving the business-enabling environment, infrastructure for sustainable growth). However, results in terms of CSP priority areas are not as distinct as results observed at project level. Beyond multi-sector and transport interventions, which are expected to yield positive results in terms of growth and job creation, few contributions toward private sector development, SME development, value addition and job creation were found.

Efficiency is rated partly unsatisfactory. The Bank's infrastructure interventions were generally delivered in an efficient manner, with a satisfactory cost-quality ratio. Most infrastructure projects suffered from significant delays (i.e., in transport, water and sanitation, and agriculture). This was attributed to weak project readiness where projects developed their design after approval. Beyond infrastructure construction, inefficiencies were noted in relation to operations, management and maintenance. This was partly due to weak quality at entry and project readiness related to planning and capacity of the Project Implementation Unit.

Sustainability is rated as partly unsatisfactory. Overall, infrastructure projects were technically sound and of good quality. However, the future financial sustainability and maintenance of some infrastructure projects is at risk. In the finance sector, a high rate of non-performing loans (26 percent) was

observed. Overall, the Bank contributed to building Namibia's institutional capacity and stakeholder ownership, but results varied across sectors and sustainability in economic governance remains fragile. The Bank's interventions demonstrated compliance with its environmental and social norms and regulations, producing the needed ESIA's and ESMPs.

Lessons

Lesson 1: The demand-driven dynamic between the Bank's CSP programs and evolving GRN needs, if not well managed, is likely to negatively affect the internal coherence of the Bank's programs and lead to portfolio dispersion.

The evaluation found that coherence and alignment with the GRN needs remained robust, but the internal coherence among portfolio sectors, including synergies and complementarities in CSP programs, was a challenge. It was hard to build the pipelines that mirrored CSP strategic orientations, and the causal pathways between sector and intersectoral interventions were diluted, while sector contributions remained untraceable to higher-level development results, such as from MSME support, energy, value chain approach, private sector development, and job creation. Lack of country presence also contributed to this dispersion, loss of internal and external coherence, dilution of direct attributed effects, and absence of clear synergies that are required to drive sectoral outcomes into wider impact at pillar level.

Lesson 2: Aligning education and skills development programs to job market needs is instrumental to inclusive growth.

The Bank's support was found to mainly focus on infrastructure and equipment without tackling the softer aspects of TVET, such as curriculum development and training modalities (dual training, for instance) that directly connect trainees with employers (apprenticeships, on-the-job training, etc.). Shortcomings were particularly noted in lack

of linkages between the TVET centers and potential employers in related professional fields.

Lesson 3: Knowledge management and institutional capacity building, including in monitoring and evaluation, are necessary to maximize project results and sustainability.

The evaluation found that current M&E frameworks, results measurement and reporting were clear at the operations level, but challenges existed at the CSP pillar level. This limited the Bank's capacity to steer its interventions effectively in terms of achieving higher-level development results or impact. More specifically, areas such as socio-economic development, skills development, private sector development, job creation and value addition, were not monitored in a rigorous and comprehensive way.

Strong M&E frameworks aimed at tracking project progress and program results, measuring impact, and identifying areas for improvement facilitate evidence-based decision-making, support accountability, and help to ensure that expected development results (impacts and outcomes) are tracked throughout project lifecycles and achieved.

Lesson 4: Improving quality at entry and project preparation contributes to smooth project implementation and avoids efficiency losses.

Persistently weak quality at entry (mainly issues related to planning and capacity of Project Implementation Units) can be anticipated and addressed by building capacity at the outset, thereby avoiding future delays. However, in several instances, project preparation did not ensure that key documents, including full feasibility studies, were in place prior to project approval.

Lesson 5: Lack of synergies and complementarities between sectors and projects limit the ability of the Bank's country program to tackle the barriers to business development, value addition, MSME support and job creation in an integrated way.

Unlike the two CSPs, the portfolio was found to be limited in complementarities and synergies between sectors and projects, leading to an absence of structure and strategic orientation between sector work, PSD, entrepreneurship, and job creation. Challenges such as with access to finance, high energy and transport costs, access to markets, the business-enabling environment, and economic governance were not addressed in a cohesive and strategic manner. A successful integrated approach demands a detailed systemic assessment of sectoral and thematic contexts, key stakeholders, and context dynamics, and to design and deliver highly tailored programs by consulting national partners, beneficiary groups, and CSOs.

Recommendations

The evaluation makes the following recommendations:

Recommendation 1: Enhance the design of the Bank's program and the internal coherence of its portfolio of interventions.

Priority actions to consider include:

- i. Strengthening the links between activities, outputs, and outcomes at the pillar level in the Bank's CSP, and their links to the CSP's higher-level objectives;
- ii. Undertaking strong engagement with all relevant actors (government [sector] ministries and institutions, state-owned enterprises, the private sector, civil society) to mutually agree on and commit to a coherent multi-year program of support and a pipeline of mutually reinforcing interventions; and
- iii. Ensuring ongoing structured interactions, coordination, and policy dialogue with the GRN and key economic actors.

Recommendation 2: Strengthen the coherence of the Bank's support with that of other DPs supporting Namibia. Key actions might include:

- i. Reinforcing the engagement with other DPs through the existing coordination mechanisms and continuous dialogue;
- ii. Actively seeking out collaboration in areas of priority for the Bank, such as green and renewable energy, and seizing opportunities for co-financing as they arise; and
- iii. Working with partners, including the private sector, to jointly identify emerging investment prospects in the country's evolving business environment.

Recommendation 3: Promote effective implementation of the Bank's strategy and program. Actions to consider include:

- i. Ensuring a mutual understanding between AfDB departments, the Bank's Southern Africa Regional Office, Namibian government agencies, and other stakeholders of the intervention logic of the Bank's interventions and the results chain from individual projects to the higher-level expected CSP results;
- ii. Continuing to support the country in building the capacity of government and implementing agencies to implement, monitor, report on, and evaluate the Bank's programs, with particular attention to AfDB rules and procedures (such as fiduciary processes, procurement, disbursement, financial management, and ESS); and
- iii. Strengthening intersectoral coordination within the Bank to maximize synergies between Bank operations.

Recommendation 4: Strengthen the Bank's support for regional integration between Namibia and its neighbors. Key actions might include:

- i. Undertaking further analysis of the national hard and soft infrastructure needs for promoting road and rail corridors serving ports, and power pools, and the existing connecting infrastructure in neighboring countries;
- ii. Providing support to the GRN to develop and implement relevant transnational agreements and industrial partnerships; and
- iii. Focusing on achieving the expected CSP outcomes in terms of increased regional trade, power interconnection, developing investments in

value-adding activities, and facilitating Namibia's integration into regional and global value chains.

Recommendation 5: Enhance the Bank's focus on issues of inclusiveness and gender inequality. The following actions might be considered:

- i. Identifying the root causes of wealth disparities, high (youth) unemployment, and gender inequality in Namibia and their links with the CSP pillars and sectors of Bank intervention; and
- ii. Taking a systematic approach to promoting inclusion and gender transformation through specialized analysis and deliberate targeting of vulnerable groups in the Bank's interventions and integrating relevant elements in the M&E system. ■



A staff member of the Woker Freight Services (WFS) based at Walvis Bay.



A veterinary student at UNAM Veterinary Academic Hospital. He described the new hospital as a conducive study environment.

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Annex 1: List of Operations

Operations Approved During 2014–2023

No.	Code	Project Name	Sector Name	Approval Date	Net Loan (UA)	Status	Disb. Ratio (%)
1	P-NA-AA0-005	NAMIBIA AGRICULTURAL MECHANISATION AND SEED IMPROVEMENT PROJECT	Agriculture	04.12.2017	40 214 261.59	OnGo	45.00
2	P-NA-AA0-009	STUDY - MIC TAF GRANT PROPOSAL- FEASIBILITY STUDIES-FEED AFRI	Agriculture	02.03.2019	723 000.00	OnGo	17.63
3	P-NA-AA0-010	HUMANITARIAN EMERGENCY ASSISTANCE TO MITIGATE EFFECTS OF 2018	Agriculture	09.08.2019	753 477.30	COMP	0.00
4	P-NA-DZ0-001	NAMIBIA TRANSPORT INFRASTRUCTURE IMPROVEMENT PROJECT	Transport	13.12.2017	80 428 523.17	OnGo	87.13
5	P-NA-DZ0-002	TRANSPORT INFRASTRUCTURE IMPROVEMENT PROJECT - PHASE II	Transport	31.10.2023	228 266 000.00	APVD	
6	P-NA-E00-004	WINDHOEK INTEGRATED WATER SUPPLY AND SANITATION MASTER PLAN	Water Sup/Sanit	11.01.2018	844 581.94	OnGo	19.43
7	P-NA-E00-005	WATER SECTOR SUPPORT PROGRAM	Water Sup/Sanit	11.03.2020	76 126 562.32	OnGo	2.76
		WATER SECTOR SUPPORT PROGRAM	Water Sup/Sanit	11.03.2020	2 442 400.07	OnGo	31.68
8	P-NA-E00-008	CITY OF OTJIWARONGO WASTEWATER TREATMENT AND SOLID WASTE MA	Water Sup/Sanit	07.12.2022	118 636.00	APVD	0.00
		CITY OF OTJIWARONGO WASTEWATER TREATMENT AND SOLID WASTE MA	Water Sup/Sanit	22.03.2023	1 058 373.36	APVD	0.00
9	P-NA-HAA-004	DEVELOPMENT BANK OF NAMIBIA	Finance	09.07.2015	180 964 177.14	OnGo	100.00
10	P-NA-I00-001	EDUCATION AND TRAINING QUALITY IMPROVEMENT PROJECT	Social	04.12.2017	40 214 261.59	OnGo	94.30
11	P-NA-IAD-004	MIC - SUPPORT TO THE NAMIBIA NATIONAL COUNCIL ON HIGHER EDUC	Social	03.02.2016	372 538.63	CLSD	100.00
12	P-NA-K00-004	GOVERNANCE AND ECONOMIC RECOVERY SUPPORT PROGRAM	Multi-Sector	17.03.2021	60 321 392.38	COMP	100.00
13	P-NA-K00-005	GOVERNANCE AND ECONOMIC RECOVERY SUPPORT PROGRAM (GERSP) –	Multi-Sector	28.09.2022	92 492 801.65	OnGo	100.00
14	P-NA-K00-007	ECONOMIC GOVERNANCE AND COMPETITIVENESS SUPPORT PROGRAMME	Multi-Sector	10.05.2017	120 642 784.76	COMP	100,00
15	P-NA-KA0-001	MIC GRANT INSTITUTIONAL STRENGTHENING FOR PPP	Multi-Sector	08.07.2015	787 671.00	COMP	100,00
16	P-NA-KA0-002	ECONOMIC GOVERNANCE AND COMPETITIVENESS SUPPORT PROGRAM (PHASE II)	Multi-Sector	18.07.2018	120 642 784.76	COMP	100,00
17	P-NA-KA0-004	ECONOMIC GOVERNANCE AND COMPETITIVENESS SUPPORT PROGRAMME -	Multi-Sector	11.03.2020	80 870 880.05	COMP	100,00

Operations Approved Before 2014 and Closed/Completed During 2014–2023

No.	Code	Project Name	Sector Name	Approval Date	Net Loan (UA)	Status of Project	Disb. Ratio (%)
1	P-NA-DD0-002	NEW PORT OF WALVIS BAY CONTAINER TERMINAL PROJECT - LOAN	Transport	22.07.2013	119 918 928.05	COMP	100
2	P-NA-DD0-003	NEW PORT OF WALVIS BAY CONTAINER TERMINAL PROJECT - GRANT	Transport	22.07.2013	894 285.08	CLSD	100
3	P-NA-IZ0-001	SUPPORT FOR ESTABLISHMENT OF THE NATIONAL MEDICAL BENEFIT FUND	Social	12.03.2012	271 967.90	COMP	100

Annex 2: Rating Scale

The evaluation team used a rating scale to score the performance of the AfDB's interventions. This scoring scale aims to ensure sound qualitative assessment based on evidence derived from the documentary analysis, individual or collective exchanges with stakeholders, general or sector-specific development data, descriptive statistics, etc. It makes explicit the basis of the assessment (argumentation), facilitates the comparability between projects and fosters a common understanding of the specific intervention's performance. The rating scale has four levels ranging from 1 (unsatisfactory) to 4 (highly satisfactory).

Table A2.1: The Evaluation's Four-Point Rating Scale

Scale	1 Unsatisfactory	2 Partly Unsatisfactory	3 Satisfactory	4 Highly Satisfactory
Relevance	Very weak, very inappropriate design and very limited/non-existent alignment	Weak, improper design and limited alignment / several gaps	Rather strong and appropriate design, strong alignment	Very solid and appropriate design, complete alignment
Coherence	Very weak synergy Very weak coordination	Weak synergy Weak coordination	Strong synergy Strong coordination	Best practice for synergy creation and coordination.
Effectiveness	Expected outputs not achieved in most cases. No or very few targeted results achieved.	Expected outputs achieved with significant gaps. Few targeted results achieved.	Expected outputs achieved in most cases. Most targeted results achieved.	Expected outputs fully achieved. All targeted results achieved
Efficiency	Very significant difference between the ERR and the opportunity cost of capital. Very significant gap between planned and actual timing of implementation.	Significant difference between the ERR and the opportunity cost of capital. Significant gap between planned and actual timing of implementation.	Moderate difference between the ERR and the opportunity cost of capital. Moderate gap between planned and actual timing of implementation.	Little or no difference between the ERR and the opportunity cost of capital. Little or no difference between planned and actual timing of implementation.
Sustainability	Mechanisms guaranteeing sustainability (technical, economic, financial, institutional, partnership, environmental and social) are not assured.	Mechanisms guaranteeing sustainability (technical, economic, financial, institutional, partnership, environmental and social) are hindered by significant risks.	Mechanisms guaranteeing sustainability (technical, economic, financial, institutional, partnership, environmental and social) are generally ensured, with minor risks.	Mechanisms guaranteeing sustainability (technical, economic, financial, institutional, partnership, environmental and social) are fully assured.

Note: ERR = Economic Rate of Return

Annex 3: List of Consulted Documents

Project Documents

Code	Project Name	PAR	IPR	BTOR	AM	PCR	Other Documents Consulted
Agriculture Sector							
P-NA-AAO-005	NAMIBIA AGRICULTURAL MECHANISATION AND SEED IMPROVEMENT PROJECT	2017	2024 Jan 2023 June 2021 Jan 2020 July	2023 Aug	2023 July		Technical annexes to PAR (Nov 2017) Memorandum (Dec 2017) Loan agreement (March 2018) Management letter on audit (2023) Financial statements (2023) Health, safety, environment and social policy statement draft (2023 July) E&S quarterly reports (Q1 2023, Q4 2023) Quarter progress report (Q3 2022)
P-NA-AAO-009	STUDY - MIC TAF GRANT PROPOSAL- FEASIBILITY STUDIES-FEED AFRICA- AGRICULTURAL TRANSFORMATION PROGRAMME	2018	2022 June 2021 Nov, June				
P-NA-AAO-010	HUMANITARIAN EMERGENCY ASSISTANCE TO MITIGATE EFFECTS OF 2018-2019 DROUGHT	2019	2022 April	2019 Aug		2022	Grant Proposal (2019) Financial Audit Statement (2021) Protocol of Agreement Final Report
Transport Sector							
P-NA-DZO-001	NAMIBIA TRANSPORT INFRASTRUCTURE IMPROVEMENT PROJECT PHASE I	2017	2023 Mar, June, Sep, Dec 2022 Sep, Dec		2023 Nov 2022 Nov, June 2021 Nov		Procurement Plan (Q2 2023,Q3 2023,Q4 2023, 31 Mar 2023, Jun 2023) Report of Auditor General March 2020 Audit Report - 2020-21,2022,2022-23 Management Letter on Audit 2020-21, 2021-22,2022-23 Management Representation Letter 2022 Design Reports Stage 1-5
P-NA-DZO-002	TRANSPORT INFRASTRUCTURE IMPROVEMENT PROJECT - PHASE II	2023					
P-NA-DDO-002	NEW PORT OF WALVIS BAY CONTAINER TERMINAL PROJECT	2013	2019 June			2020	Technical Annexes Environment and Social Assessment Outcome of Negotiation (Loan + Grant)

Code	Project Name	PAR	IPR	BTOR	AM	PCR	Other Documents Consulted
Water and Sanitation Sector							
P-NA-E00-004	WINDHOEK INTEGRATED WATER SUPPLY AND SANITATION MASTER PLAN	2017	2023 Oct 2022 Mar	2022 July 2018 Oct	2023 Nov 2022 May 2021 Dec 2018 Oct		Document Control Record 2 Inception Report 1 Grant Proposal Implementation Challenges PPT
P-NA-E00-005	WATER SECTOR SUPPORT PROGRAM	2020	2023 Mar Nov 2021 Mar, Sep, Nov				
P-NA-E00-008	CITY OF OTJIWARONGO WASTEWATER TREATMENT AND SOLID WASTE MANAGEMENT SYSTEM	2022	2023 Nov	2023 July, Nov	2023 July, Nov		
Finance Sector							
P-NA-HAA-004	DEVELOPMENT BANK OF NAMIBIA	2015	ANNUAL (2021,2022, 2023)	2018 June			Annual Financial Report Economic Report Development impact Report Environment and Social Performance Report Audit, Risk and Compliance Terms of Compliance
Social Sector							
P-NA-I00-001	EDUCATION AND TRAINING QUALITY IMPROVEMENT PROJECT	2017	2023 Dec, June 2022 Dec, Sep, June 2021 Sep 2020 Dec	2023 Nov 2022 April, Nov	2023 Nov 2022 April, Nov 2021 Nov		Technical Annexes Annual Progress Report 2023, 2022, 2021 Audit Financial Statement Audit Management Letter Sep 2020, Nov 2021 Report of the Auditor General 2020,21,22,23
P-NA-IAD-004	MIC - SUPPORT TO THE NAMIBIA NATIONAL COUNCIL ON HIGHER EDUCATION	2015	2019 Sep, May, Feb 2018 Nov 2016 Apr	2019 Apr	2020 Feb 2019 Apr 2017 July	2020	Procurement Plan Financial Statements Audit Reports Letter of Grant Cancellation Letter of Closure of Project Implementation Plan
P-NA-IZ0-001	SUPPORT FOR ESTABLISHMENT OF THE NATIONAL MEDICAL BENEFIT FUND					2019	Letter of Agreement
Multi-Sector							
P-NA-K00-004	GOVERNANCE AND ECONOMIC RECOVERY SUPPORT PROGRAM GERSP I	2021	2022 Sep		2021 Feb 2021 Nov	2023	
P-NA-K00-005	GOVERNANCE AND ECONOMIC RECOVERY SUPPORT PROGRAM (GERSP) – II	2022	2023 Dec, July		2022 May	2023	IMF Assessment Letter

Code	Project Name	PAR	IPR	BTOR	AM	PCR	Other Documents Consulted
P-NA-KAO-001	MIC GRANT INSTITUTIONAL STRENGTHENING FOR PPP	2015	2023 June, Dec 2022 Apr 2021 June	2017 Dec 2018 July	2021 Nov 2019 May 2018 May 2017 Dec 2014 Oct		
P-NA-K00-007	ECONOMIC GOVERNANCE AND COMPETITIVENESS SUPPORT PROGRAMME I	2017		2017 Dec	2017 Dec, Feb	2020	Technical Annexes
P-NA-KAO-002	ECONOMIC GOVERNANCE AND COMPETITIVENESS SUPPORT PROGRAM II	2018		2019 Sep 2018 June, Nov	2018 May	2020	
P-NA-KAO-004	ECONOMIC GOVERNANCE AND COMPETITIVENESS SUPPORT PROGRAMME - III		2021 Feb		2019 Sep	2020	

Policy, Strategy and Country Documents

Country Strategy Documents
Namibia Country Strategy Paper 2014-2018
Namibia Country Strategy Paper 2014-2018 Mid-Term Review and 2016 Country Portfolio Performance Review
Namibia Country Strategy Paper 2014-2018 Completion Report and 2019 Country Portfolio Performance Review
Namibia Country Strategy Paper 2020-2024
Namibia Country Strategy Paper 2020-2024 Mid-Term Review and 2022 Country Portfolio Performance Review
African Economic Outlook (AEO) 2023
Policy Documents
Bank Group Energy Sector Policy 2012
Bank Group Policy on Program-Based Operations 2012
Education Sector Policy 2000
Gender Policy 2001
Industrial Sector Policy 1984
Transport Sector Policy 1993
Water Resources ACT 2013
Integrated Water Resources Management Plan 2010
Education-Act-16-of-2001
National Energy Policy - July 2017
Namibia MoE Sector Policy on Inclusive Education 2013
Namibian Agriculture Marketing and Trade Policy and Strategy
National Climate Change Strategy & Action Plan 2013
Namibian Transport Policy
National Sanitation and Hygiene Strategy 2022-2027
Growth at Home - Namibia's Strategy for Industrialization
Ministry of Agriculture, Water and Forestry Strategic Plan
Ministry of Lands Strategic Plan 2017 to 2022
Ministry-Strategic-Plan-2017-2022
Namibia-Agriculture-Policy-2015
Strategy Documents
ADB Group Regional Integration Strategy 2009
AfDB Long Term Strategy 2013-2022
AfDB Strategy for Economic Governance in Africa 2021
Bank Group Strategy on Gender 2014-2018
Bank Group Agriculture Sector Strategy 2010-2014
Bank Group Regional Assistance Strategy 2004
Corporate Governance Strategy 2005
Bank Group Urban-Development Strategy 2011
External Relations and Communications Strategy
Energy Strategy 2012
Governance Strategic Directions and Action Plan GAP 2008-2012
Governance Strategic Framework and Action Plan GAP II 2014- 2018
Bank Group Climate Risk Management and Adaptation Strategy (CRMA) 2009
Strategy Update for the Bank's Private Sector Operations 2007
HIV/AIDS Strategy Paper for Bank Group Operations 2001
Impact of Decentralization Strategy on Country Dialogue and Portfolio Quality 2008

Independent Evaluation of the Decentralization Strategy at the ADB 2009
Independent Evaluation Strategy 2013
Medium-Term Strategy 2008-2012
Private Sector Development Strategy 2013
PSD Strategy 2021-2025
Rural Water Supply and Sanitation Initiative-RWSSI Strategic Plan 2012-2013
Strategic and Operational Framework for Regional Operations 2007
Strategy and Assistance in Microfinance to Regional Member Countries 2001
Strategy for Higher Education Science and Technology 2008
National Documents
Harambee Prosperity Plan I
Harambee Prosperity Plan II
Namibia 2030 Vision
National Development Plan 4 (NDP 4)
National Development Plan 5 (NDP 5)
Other Documents
UNDP AfCFTA Guide for Namibia 2022
EU Cooperation in Namibia Multi-Annual Indicative Program 2021-2027
IPPR Namibia Quarterly Economic Review 2023-Q4
IFC Creating Markets in Namibia 2022
IMF Commodity Shocks
IMF Namibia Country Report 2019
IMF Namibia Country Report 2023
IPPR SME Financing in Namibia 2023
IPPR Open Budget Survey Namibia 2021
IPPR Enterprise Governance Rankings 2021
World Bank Creating Markets in Namibia 2022
World Bank Namibia Gender Landscape 2024
World Bank Namibia Poverty Outlook 2024
World Bank Namibia Systematic Country Diagnostics 2021
Tender Documents
Terms of Reference (ToR)- Namibia Country Strategy and Program Evaluation (2014-2023)

Endnotes

- 1 Including three operations approved before 2014.
- 2 Unsatisfactory - Partly unsatisfactory - Satisfactory - Highly satisfactory
- 3 <https://www.statista.com/statistics/812268/youth-unemployment-rate-in-namibia/>
- 4 The ratings are 1 – Unsatisfactory, 2 – Partly unsatisfactory, 3 – Satisfactory, and 4 – Highly satisfactory.
- 5 Mo Ibrahim Foundation (2022), Ibrahim Index of African Governance (IIAG) Country profile: Namibia 2012–2021, <https://assets.iiag.online/2022/profiles/2022-IIAG-profile-na.pdf>
- 6 Namibia ranked one place down from 58th in 2021, with a score declining to 49th. Source: Transparency International (2023), Corruption Perceptions Index 2022, Country Data: Namibia, <https://www.transparency.org/en/countries/namibia>
- 7 Afrobarometer (2018) reports that 78 percent of Namibians believe corruption in the country has increased, and that corruption exists at all levels of government. According to the MO Ibrahim Index (2022) on public perception of anti-corruption, Namibia's rank declined between 2018 (score of 60.2) and 2021 (score of 54.7)
- 8 <https://www.statista.com/statistics/510204/share-of-economic-sectors-in-the-gdp-in-namibia/>
- 9 World Integrated Trade Solution (WITS). 2024. Namibia Food Products Imports by Country. https://wits.worldbank.org/CountryProfile/en/Country/NAM/Year/LTST/TradeFlow/Import/Partner/by-country/Product/16-24_FoodProd
- 10 <https://nambusinessexpress.com/?p=3708#:~:text=On%20a%20national%20front%2C%20the,over%2014%20%25%20of%20export%20earnings.>
- 11 Namibia's Ministry of Trade and Industry (2019) Namibia - Trade Agreements, Privacy Shield. <https://www.privacyshield.gov/ps/article?id=Namibia-Trade-Agreements>
- 12 Hausmann, R. et al. (2022) The Economic Complexity of Namibia: A Roadmap for Productive Diversification, CID Faculty Working Paper. <https://growthlab.hks.harvard.edu/sites/projects.iq.harvard.edu/files/growthlab/files/2022-03-cid-wp-410-namibia-economic-complexity-report.pdf>.
- 13 World Bank (2024). Namibia. <https://thedocs.worldbank.org/en/doc/b3502c65235d8c72aef5f34d87ed6298-0500062021/related/data-nam.pdf>
- 14 Namibia Country Strategy Paper 2020–2024 Mid-Term Review and 2022 Country Portfolio Performance Review, page 3 and AfDB Statistic Department (Development Data portal database)
- 15 It should be noted that the Namibian Dollar is pegged to the South African Rand, meaning that Namibia's monetary policy is constrained by that of South Africa.
- 16 Namibia Country Strategy Paper 2020–2024 Mid-Term Review and 2022 Country Portfolio Performance Review, page 3.
- 17 Namibia Country Strategy Paper 2020–2024 Mid-Term Review and 2022 Country Portfolio Performance Review, page 3 and AfDB Statistic Department (Development Data Portal Database).
- 18 IMF (2023). Namibia. Staff Report on the 2023 Article IV Consultation.
- 19 Country Strategy Paper (CSP) 2020–2024 Mid-Term Review and 2022 Country Portfolio Performance Review, page 2.
- 20 <https://www.imf.org/en/News/Articles/2023/09/30/pr23328-imf-staff-completes-2023-article-iv-mission-to-namibia>
- 21 <https://www.imf.org/en/News/Articles/2023/09/30/pr23328-imf-staff-completes-2023-article-iv-mission-to-namibia>
- 22 <https://reliefweb.int/report/namibia/namibia-acute-food-insecurity-analysis-july-2023-june-2024-published-6-september-2023>
- 23 https://nsa.org.na/wp-content/uploads/2024/08/Labour_Force_Survey_final_-_2018.pdf
- 24 World Bank (2023), GDP Growth. <https://data.worldbank.org/indicator/NY.GDP.MKTP.KD.ZG?locations=NA&skipRedirection=true&view=map>
- 25 CIA (2024a) Namibia, The World Factbook. Available at: <https://www.cia.gov/the-world-factbook/countries/namibia/> (Accessed: 15 March 2024).
- 26 <https://ourworldindata.org/poverty>
- 27 Youth unemployment remains high (38 percent) and Namibia still has the second-highest GINI coefficient in the world.

- 28 United Nations Development Programme, Human Development Index 2021: Namibia, <https://hdr.undp.org/data-center/specific-country-data/#/countries/NAM> & https://data.humdata.org/dataset/hdro-data-for-namibia?force_layout=desktop
- 29 Namibia Ministry of Works and Transport (2018). 2018 Namibian Transport Policy, Implementation Period 2018–2035.
- 30 Namibia – Country Strategy Paper (CSP) 2020–2024: <https://www.afdb.org/en/documents/namibia-country-strategy-paper-csp-2020-2024>, page 6.
- 31 Namibia Ministry of Education (2013). Sector Policy on Inclusive Education.
- 32 Namibia Ministry of Health and Social Services (2010–2020). National Health Policy Framework.
- 33 Republic of Namibia (2015). Namibia Agriculture Policy.
- 34 AfDB Strategy for 2013–2022 – At the Center of Africa's Transformation.
- 35 AfDB Regional Integration Strategic Framework (RISF) 2018–2025.
- 36 AfDB Supporting the Transformation of the Private Sector in Africa Private Sector Development Strategy, 2013–2017.
- 37 AfDB Private Sector Development Strategy (PSDS) 2021–2025.
- 38 AfDB Financial Sector Development Strategy (FSDS) 2014–2019.
- 39 AfDB Jobs for Youth in Africa Strategy.
- 40 AfDB Group's Strategy for Addressing Fragility and Building Resilience in Africa (2022–2026).
- 41 AfDB Climate Change and Green Growth Strategic Framework: Operationalizing Africa's Voice. Action Plan 2021–2025.
- 42 AfDB Group Gender Strategy 2021–2025. Investing in Africa's women to accelerate inclusive growth
- 43 AfDB Strategy for Economic Governance in Africa (SEGA) 2021–2025.
- 44 Namibia – Country Strategy Paper (CSP) 2014–2018: <https://www.afdb.org/en/documents/document/2014-2018-namibia-country-strategy-paper-46431>
- 45 Namibia – Country Strategy Paper (CSP) 2020–2024: <https://www.afdb.org/en/documents/namibia-country-strategy-paper-csp-2020-2024>
- 46 Of which UA 121 million was for three operations approved before 2014.
- 47 Feed Africa, Light up and Power Africa, Industrialize Africa, Integrate Africa, Improve the quality of life of Africans.
- 48 <https://sdgs.un.org/sites/default/files/2022-11/NAMIBIA%20inputs.pdf>
- 49 https://www.afdb.org/fileadmin/uploads/afdb/Documents/Policy-Documents/2014-2018_-_Governance_Strategic_Direction_and_Action_Plan_GAP_II_Draft_Report_for_External_Consultation.pdf
- 50 <https://archive.uneca.org/oria/pages/sadc-macroeconomic-policy-convergence#:~:text=More%20precisely%2C%20SADC%20has%20set,not%20less%20than%207%20per>
- 51 The fall armyworm is a species of moth well known as one of the main agricultural pests of economic importance attacking agricultural crops and cultivars, such as corn, soybeans and cotton, among other crops.
- 52 <https://lpi.worldbank.org/international/scorecard/line/C/NAM/2018>
- 53 <https://www.afdb.org/en/documents/cluster-evaluation-afdb-road-and-port-projects-2012-2019>
- 54 <https://thebrief.com.na/2024/04/walvis-bay-corridor-doubles-cargo-volumes-to-2-4-million-tonnes/>
- 55 Non-exhaustive list for illustration purposes only, including both output and outcome levels.
- 56 Field data mission, April 2024.
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- 58 Non-exhaustive list for illustration purposes only, including both output and outcome levels.
- 59 Reducing Carbon Footprint of Agriculture—Can Organic Farming Help to Mitigate Climate Change?, M. Holka et al., 2022 : <https://www.mdpi.com/2077-0472/12/9/1383> ; Climate Change, Agricultural Productivity, and Food Security, M. Ahmed et al., 2023: https://link.springer.com/chapter/10.1007/978-3-031-14973-3_2
- 60 https://mit.gov.na/policies/-/document_library/arcd/view_file/1872719?_com_liferay_document_library_web_portlet_DLPortlet_INSTANCE_arcd_redirect=https%3A%2F%2Fmit.gov.na%2Fpolicies%3Fp_id%3Dcom_liferay_document_library_web_portlet_DLPortlet_INSTANCE_arcd%26p_p_lifecycle%3D0%26p_p_state%3Dnormal%26

- 61 TransNamib suffers from a long history of poor maintenance and neglect that has only recently begun to receive GRN attention: https://www.railjournal.com/in_depth/transnamib-back-from-the-brink/
- 62 <https://maritime-executive.com/article/namibia-plans-massive-port-expansion-to-prepare-for-energy-exports>
- 63 https://ec.europa.eu/commission/presscorner/api/files/document/print/en/ip_23_5263/IP_23_5263_EN.pdf
- 64 <https://www.globalhydrogenreview.com/hydrogen/30052023/the-government-of-namibia-signs-green-hydrogen-project-agreement-with-hyphen/>
- 65 <https://www.npc.gov.na/wp-content/uploads/2023/05/NPC-ODA-Report.pdf>



IDEV

Independent Development Evaluation
African Development Bank



About this evaluation

Independent Development Evaluation (IDEV) at the African Development Bank Group (AfDB or “the Bank”) conducted an evaluation of the Bank’s Country Strategy and Program for Namibia for the period 2014-2023. The primary purpose of the evaluation was to provide lessons and recommendations to inform the next Country Strategy Paper (2025-2029).

The evaluation covered two Country Strategy Paper cycles ([2014-2018](#) and [2020-2024](#)), whose focus was on infrastructure development for sustainable economic growth; and economic governance for an improved business-enabling environment. The interventions comprised 10 sovereign loans, nine grants, and one non-sovereign operation spread across six sectors.

The evaluation concluded that the Bank’s support to Namibia aligned with national policies and strategies; however, several objectives of the Country Strategy Papers, such as youth unemployment, small and medium enterprise development (SME), and value addition were either tackled weakly or failed to materialize. The evaluation noted weak cross-sector collaboration and limited coherence with other development partners, as well as minimal contributions toward private sector and SME development and job creation. Additionally, there were concerns regarding project delays and the future financial sustainability and maintenance of infrastructure projects.

Some of the highlighted lessons include aligning skills development to job market needs, enhancing knowledge management and institutional capacity-building, improving project preparation, and fostering cross-sector synergies. Among others, the evaluation recommended enhancing the design of the Bank’s program; strengthening external coherence and regional integration; and focusing on inclusiveness and gender inequality.



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